



ENCAP INVESTMENTS L.P.
EnCap Energy Capital Fund XI

Quarterly Review

As of December 31, 2022

Confidential



ENCAP INVESTMENTS L.P.

EnCap Energy Capital Fund XI

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Section I: Summary of Significant Events and Valuation

Activity for the three months ended December 31, 2022

Transactions

<i>Type</i>	<i>#</i>	<i>\$ in millions</i>
Commitments	3	642.4
Investments	11	501.8
Distributions-Cash	5	80.6

Fund XI made commitments or adjustments to the following portfolio companies (\$ in millions):

Commitments:

M6 Midstream	\$ 594.5
Piedra IV	47.6
Earthstone	0.3
	<u>\$ 642.4</u>

Fund XI made investments in portfolio companies as follows (\$ in millions):

Investments:

Double Eagle IV	\$ 308.8
Tumbleweed IV	58.5
Silverback II	47.1
M6 Midstream	30.8
Piedra IV	28.6
Pegasus II	14.9
Arbor Gas	6.2
Grenadier III	2.5
Special Opportunities	2.1
Sabalo II	2.0
Earthstone	0.3
	<u>\$ 501.8</u>

Fund XI received cash distributions from the following portfolio companies (\$ in millions):

Distributions:

EnCap Minerals	\$ 43.9
Grayson Mill II	21.8
Verdun II	9.6
Enduring IV	5.0
Raisa III	0.3
	<u>\$ 80.6</u>

Fund Performance Summary (\$ in millions)

The table below presents investment performance since inception. A valuation by investment is incorporated in the subsequent table.

<i>Date of Initial Investment</i>	<i>Total Committed</i>	<i>Capital Invested</i>	<i>Realized Proceeds</i>	<i>Unrealized Value</i>	<i>Total Value</i>	<i>Gross IRR</i>	<i>Net IRR</i>
July-17	\$ 8,185.7	\$ 5,238.1	\$ 933.0	\$ 8,405.0	\$ 9,338.0	30.4%	19.8%



ENCAP INVESTMENTS L.P.

EnCap Energy Capital Fund XI
Summary of Significant Events and Valuation

Portfolio Status

Fund XI								
(As of December 31, 2022; \$ in millions)								
Company	Date of Initial Investment	Commitment	Total Capital Invested	Realized Proceeds	Unrealized Value	Total Realized Proceeds & Unrealized Value	ROI	Gross IRR
<i>Realized or Substantially Realized Investments</i>								
Sable Bay	Aug-17	\$ 5.9	\$ 5.9	\$ -	\$ -	\$ -	0.0x	n/a%
Silverado	Mar-19	15.8	15.8	-	-	-	0.0	n/a
Raisa III	Jun-19	13.1	13.1	8.1	-	8.1	0.6	(19.8)
Paloma V (Solar & Wind)	May-20	41.9	41.9	37.2	7.7	44.9	1.1	11.8
Special Opportunities	Dec-20	75.0	67.7	135.8	15.4	151.2	2.2	145.0
		151.7	144.4	181.1	23.1	204.2	1.4x	31.3%
<i>Unrealized Investments</i>								
Silverback II	Jul-17	486.0	155.8	-	174.5	174.5	1.1x	
Enduring IV	Jul-17	475.0	271.8	5.2	323.4	328.6	1.2	
Black Swan	Oct-17	547.5	497.7	-	1,123.6	1,123.6	2.3	
EnCap Minerals	Nov-17	599.7	599.7	249.2	1,052.7	1,301.9	2.2	
Forge II	May-18	474.6	265.0	0.0	441.3	441.3	1.7	
XCL	Jul-18	585.2	571.5	-	919.3	919.3	1.6	
Piedra IV	Dec-18	287.6	249.5	-	452.8	452.8	1.8	
Arbor Gas	Feb-21	45.8	44.4	-	44.4	44.4	1.0	
Grayson Mill II	Apr-21	500.0	394.2	487.9	904.9	1,392.8	3.5	
Grenadier III	Jun-21	343.0	8.8	-	8.8	8.8	1.0	
Pegasus II	Jun-21	297.3	166.0	-	238.6	238.6	1.4	
Verdun II	Jul-21	392.0	361.2	9.6	981.5	991.1	2.7	
Sabalo II	Sep-21	296.5	7.9	-	7.9	7.9	1.0	
Paloma VI	Dec-21	539.0	504.7	-	651.0	651.0	1.3	
Double Eagle IV	Mar-22	900.0	545.6	-	545.6	545.6	1.0	
Tumbleweed IV	Mar-22	450.0	198.8	-	198.8	198.8	1.0	
Earthstone	Apr-22	220.3	220.3	-	282.0	282.0	1.3	
M6 Midstream	Nov-22	594.5	30.8	-	30.8	30.8	1.0	
		8,034.0	5,093.7	751.9	8,381.9	9,133.8	1.8x	
		\$ 8,185.7	\$ 5,238.1	\$ 933.0	\$ 8,405.0	\$ 9,338.0	1.8x	30.4%



ENCAP INVESTMENTS L.P.

EnCap Energy Capital Fund XI
Summary of Significant Events and Valuation

Comparison to prior quarter
(\$ in millions)

	Valuation		Q4 2022 Cash	Valuation Increase	% Change in Unrealized	Comments (> \$5MM and 5% change)
	9/30/2022	12/31/2022	Inv. (Distrib.)	(Decrease)	from 9/30/2022	
Silverback II	\$ 116.2	\$ 174.5	\$ 47.1	\$ 11.2	9.6%	Positive Delaware Basin drilling results and activity
Enduring IV	337.5	323.4	(5.0)	(9.1)	-2.7%	
Black Swan	913.8	1,123.6	-	209.8	23.0%	Positive Northern Midland Basin drilling results and activity
EnCap Minerals	986.4	1,052.7	(43.9)	110.2	11.2%	Increase in drilling activity on minerals acreage
Forge II	450.9	441.3	-	(9.6)	-2.1%	
XCL	808.3	919.3	-	111.0	13.7%	Positive Uinta Basin drilling results and activity
Piedra IV	402.8	452.8	28.6	21.4	5.3%	Positive Northern Midland Basin drilling results and activity
Paloma V (Solar & Wind)	7.6	7.7	-	0.1	1.3%	
Special Opportunities	13.3	15.4	2.1	-	0.0%	
Arbor Gas	38.2	44.4	6.2	-	0.0%	
Grayson Mill II	844.7	904.9	(21.8)	82.0	9.7%	Positive Bakken drilling results and activity
Grenadier III	6.4	8.8	2.5	(0.1)	-1.6%	
Pegasus II	151.1	238.6	14.9	72.6	48.0%	Increase in drilling activity on minerals acreage
Verdun II	810.5	981.5	(9.6)	180.6	22.3%	Positive Eagle Ford drilling results and activity
Sabalo II	5.9	7.9	2.0	-	0.0%	
Paloma VI	842.6	651.0	-	(191.6)	-22.7%	Decrease in natural gas prices
Raisa III	0.2	-	(0.3)	0.1	50.0%	
Double Eagle IV	236.9	545.6	308.8	(0.1)	0.0%	
Tumbleweed IV	140.3	198.8	58.5	-	0.0%	
Earthstone	244.2	282.0	0.3	37.5	15.4%	Increase in ESTE public security price
M6 Midstream	-	30.8	30.8	-	n/a	
	<u>\$ 7,357.8</u>	<u>\$ 8,405.0</u>	<u>\$ 421.2</u>	<u>\$ 626.0</u>	<u>8.5%</u>	



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EnCap Energy Capital Fund XI

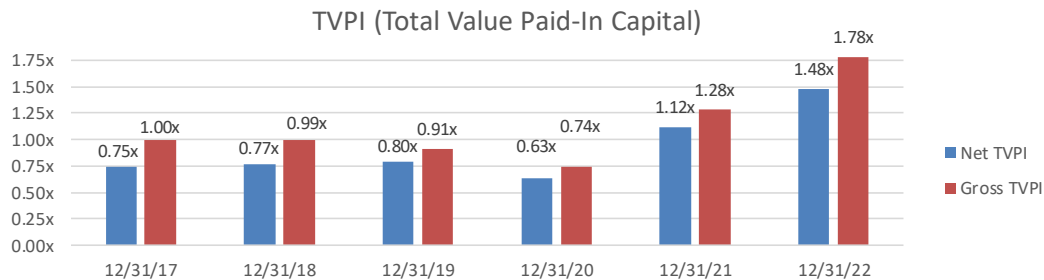
Summary of Significant Events and Valuation

Fund Status

(\$ in millions)

	12/31/17	12/31/18	12/31/19	12/31/20	12/31/21	12/31/22
Total Commitments	6,961.2	6,961.2	6,961.2	6,961.2	6,961.2	6,961.2
Total Paid-In Capital	247.6	746.3	2,057.0	2,414.1	3,903.9	5,852.3
Recallable Capital	-	-	-	-	63.6	182.2
% Total Capital Drawn*	3.6%	10.7%	29.5%	34.7%	55.2%	81.9%
Remaining Commitment*	6,713.6	6,214.9	4,904.2	4,547.1	3,120.9	1,291.1
Investments at Cost	117.5	550.5	1,696.3	1,987.9	3,404.6	5,238.1
Investments at FMV	117.5	545.5	1,547.9	1,468.7	4,353.4	9,338.0
Gains (losses) - on unrealized companies	-	0.9	(142.5)	(513.3)	974.3	4,040.1
Gains (losses) - on realized companies	-	(5.9)	(5.9)	(5.9)	(25.5)	59.8
Gross Distributions	-	0.2	0.6	0.6	160.1	933.0
Cash Balance	66.7	30.2	90.0	50.5	86.4	50.3
# of Companies Funded	5	9	12	14	19	23
# of repeat teams	4	6	8	9	12	13
# of new teams	1	3	4	5	7	10
Realized above cost	-	-	-	-	1	2
Realized below cost	-	1	1	1	3	3
Unrealized above cost	-	2	2	-	7	12
Unrealized at cost	5	6	8	6	6	6
Unrealized below cost	-	-	1	7	2	-
Gross Distributions:						
% of total drawdowns	0.0%	0.0%	0.0%	0.0%	4.1%	15.9%
% of committed capital	0.0%	0.0%	0.0%	0.0%	2.3%	13.4%
Key Fund Valuation Metrics:						
Gross IRR	n/a	n/a	(10.5)%	(17.6)%	14.5%	30.4%
Gross DPI (Distributions to investment)	0.00x	0.00x	0.00x	0.00x	0.05x	0.18x
Gross RVPI (Residual value to paid-in capital)	1.00x	0.99x	0.91x	0.74x	1.23x	1.60x
Gross TVPI (Total value to paid-in capital)	1.00x	0.99x	0.91x	0.74x	1.28x	1.78x
Net to LPs:						
Net IRR	n/a	n/a	(24.6)%	(26.3)%	6.3%	19.8%
DPI (Distributions to paid-in capital)	0.00x	0.00x	0.00x	0.00x	0.02x	0.15x
RVPI (Residual value to paid-in capital)	0.75x	0.77x	0.80x	0.63x	1.10x	1.33x
TVPI (Total value to paid-in capital)	0.75x	0.77x	0.80x	0.63x	1.12x	1.48x

Historical Fund Performance (TVPI)



* Includes recallable capital

EnCap Energy Capital Fund XI

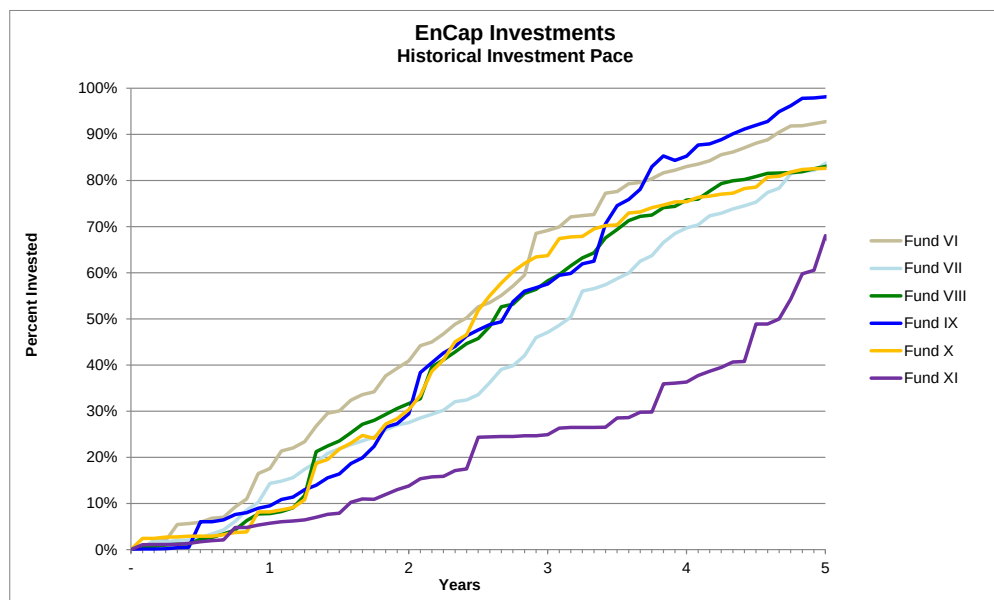
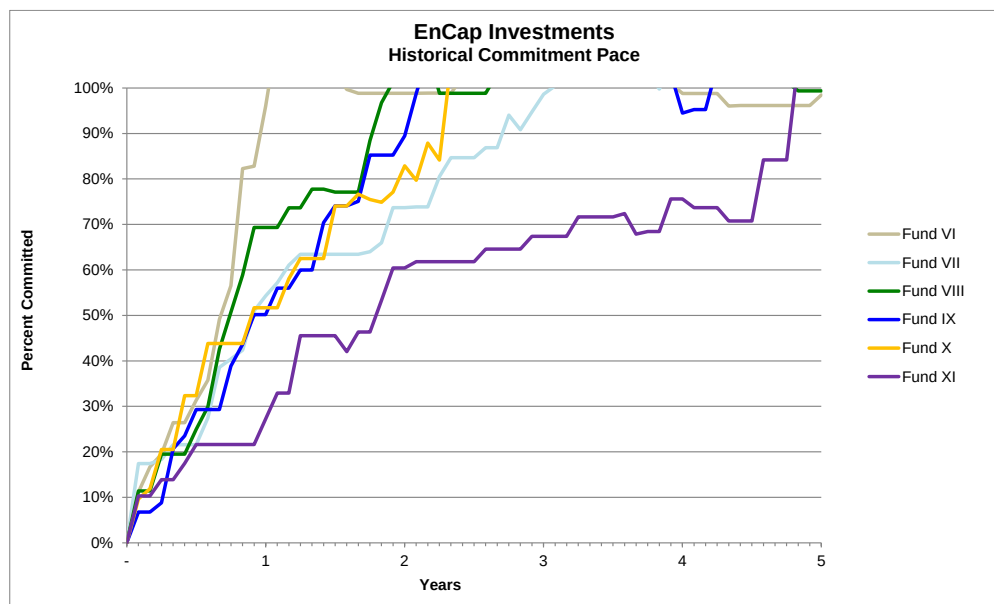
Summary of Significant Events and Valuation

Projected Contributions and Distributions as a Percentage of Commitment

	2023	2024	2025
Contributions	6%	5%	5%
Distributions	20%	20%	20%

Commitment and Investment Pace

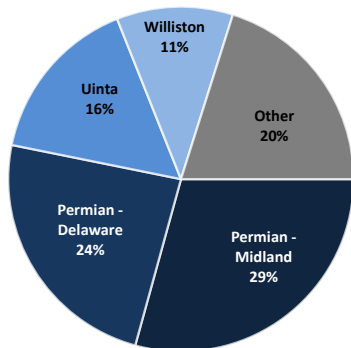
Fund XI commitment pace now in line with prior funds, however, investment pace is slower as compared to prior funds due to market conditions.



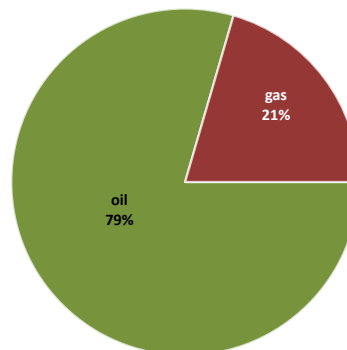
Portfolio Review and Discussion of Recent Transactions

Fund Capital Allocation

Fund XI Capital Invested By Basin (Unrealized)

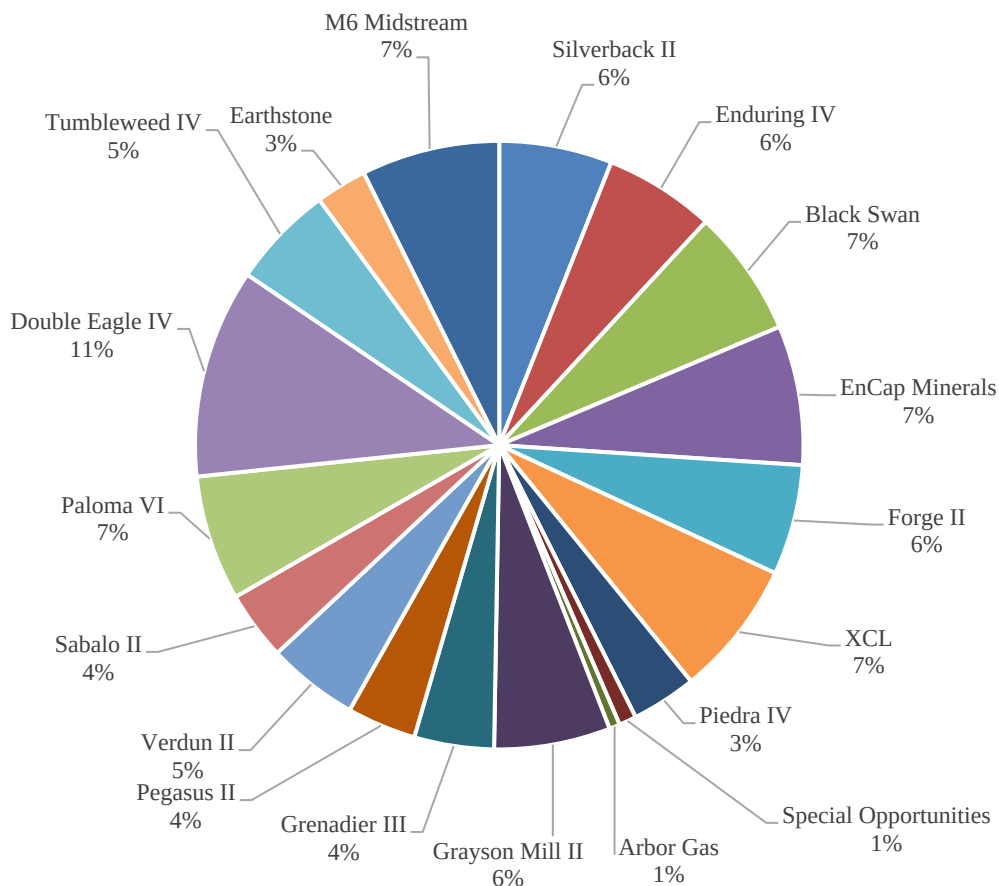


Fund XI Oil & Gas Mix (Unrealized - Investment Weighted)



gas @20:1 mcf/bo
 NGL's included in oil @0.6bbl/bo

Fund XI Unrealized Commitment Concentration



**Significant Events and Transactions**

- Silverback II** - Started flowing back 9 horizontal wells; picked up 1 rig in December 2022 to further delineate its asset base
- Enduring IV** - Initiated distributions from free cash flow in Q4 2022 and plan to run a 1 rig program in 2023
- Black Swan** - Continued running a 3-rig development program to bring value forward; brought 8 wells online during Q4
- Forge II** - Aggregated ~34,000 net acres in the Southern Delaware Basin; currently running an active development program
- XCL** - Continued to execute on large scale development in the Uinta Basin
- Piedra IV** - Accumulated ~8,700 net royalty acres primarily in the core of the Midland Basin; currently running an active development program on their operated position
- Special Opportunities** - Realized a 2.6x ROI on the Denbury investment; Encino is focused on building out its methane monitoring business and has acquired additional cameras to help grow the company's continuous monitoring program
- Arbor Gas** - Continued to progress design engineering and site development; made substantial progress in negotiations with a potential partner for an additional site located in Baton Rouge, Louisiana
- Grayson Mill II** - Continued to execute on a significant capital program and make recurring distributions; acquired EOG's Western Bakken assets for \$125 million in cash consideration
- Grenadier III** - Continued to evaluate opportunities across multiple basins
- Pegasus II** - Closed on several small minerals transactions in the core of the Permian Basin
- EnCap Minerals** - Made ~\$121 million in distributions (\$43.9 million net to Fund XI); current industry activity should translate to continued growth for the entity in 2023
- Verdun II** - Continued to execute its operated development program of the acquired EP Energy Eagle Ford assets; initiated a distribution program with \$10 million distributed in December 2022 (\$9.6 million net to Fund XI)
- Sabalo II** - Continued to evaluate opportunities across multiple basins
- Paloma VI** - Quickly reduced activity levels given the recent drop in natural gas prices; existing production is well hedged through 2023
- Double Eagle IV** - Closed on just over 22,500 net acres in the Permian Basin and continued a 2-rig development program through Q4 with 2 additional rigs added after year-end



- Tumbleweed IV** - Closed on ~9,500 net royalty acres in the Permian Basin and continues to actively evaluate acquisition opportunities
- Earthstone** - Continued to generate free cash flow and pay down modest debt profile
- M6 Midstream** - Announced FID on the NG3 project, which will gather natural gas produced in the Haynesville Shale for delivery to Gulf Coast markets with a permanent CO₂ capture and sequestration component

Environmental, Social and Governance Highlights

During the due diligence phase of our investment process, EnCap ensures that the prospective management team members are fully aligned with EnCap's Environmental, Social and Governance ("ESG") building blocks prior to making the investment decision. Upon partnering with a new team, EnCap requires each portfolio company to have a likeminded ESG policy and supporting policies and procedures in place. In addition, EnCap requires each portfolio company to report on significant ESG issues and provide details of ongoing ESG developments during each quarterly Board meeting. This information is used by EnCap to quantitatively measure ESG activities and the impact on the performance of each portfolio company.

During Q4 2022, EnCap managed Fund XI in accordance with ESG policies. There were no material changes to the ESG risks and opportunities facing the portfolio, and there were no material ESG incidents to report during the quarter.

Additionally, refer to our third EnCap Sustainability Report covering 2021 available on our FIS DX website.



Other Reporting Matters

In addition to this report (which contains all fund financial statements in Section IV), the following reports net to each Limited Partner are available on our Investran DX website:

1. Statement of Partner's Capital, including allocation of the following:
 - a. Management fees
 - b. Net operating income (loss)
 - c. Realized gains (losses)
 - d. Unrealized gains (losses)
 - e. Unrealized incentive allocation
 - f. Incentive payments to the GP
 - g. Contributions paid
 - h. Distributions received
 - i. Recallable distributions received
 - j. Tax withholdings, if applicable
 - k. Portfolio company summary cash flows
2. Status of Payout
3. ILPA Fee and Expense Reporting Template

Other reporting available on our Investran DX website includes:

1. Cash call and distribution notices
2. Quarterly management fee calculations
3. Supplemental fund and portfolio company information (available 45 days after quarter end; 105 days after year end)
 - a. Fund organization information
 - b. Portfolio company organization information
 - c. Portfolio company financial information
4. Supplemental Schedule of Investments
5. All tax reporting
6. Annual audited financial statements
7. Advisory Board presentations
8. Legal documents

Please contact Katherine Cangelosi at Kcangelosi@encapinvestments.com if log on assistance is needed.



Section II: Industry Overview

Crude Oil Overview

Crude spot prices (“WTI”) finished the quarter up ~0.3% QoQ and ~6.4% YoY. Crude entered 2022 at ~\$75/Bbl, rallied twice beyond \$120/Bbl and finished the year with only a ~\$5/Bbl gain. Subsequent to quarter-end crude has traded in ~\$75/Bbl range. At this time last year the oil markets were broadly speculating how much Russian oil would end up leaving the market due to the Russian/Ukrainian War. Some analysts estimated that as much as ~7 MMBbl/d would leave the market and this bullish sentiment ultimately led to crude surpassing \$125/Bbl/d in March 2022. A number of other factors namely 1) Russian crude continuing to find a market despite sanctions 2) China’s strict covid policy 3) OPEC’s underperformance and 4) the Biden administration’s Strategic Petroleum Reserve (“SPR”) releases all contributed to oil’s underperformance during the second part of the year. In the near/medium-terms bullish oil price drivers include 1) China re-opening post Covid restrictions 2) SPR Oil releases tapering and 3) expected Russian/OPEC+ production cuts (Russia already announced a ~0.5 MMBbl/d cut for March 2023). Near/medium-terms bearish sentiments are largely driven by continued U.S. recession fears hampering global demand growth. Oil fundamentals over the next decade however remain strong as 1) projected increased energy consumption per capita and population growth and 2) global hydrocarbon underinvestment (~\$650 billion of capital is needed annually through 2030) likely push crude prices higher.

Natural Gas Overview

Natural gas spot prices (“Henry Hub”) finished the quarter down ~45.0% QoQ and ~7.9% YoY. Subsequent to quarter-end gas prices continued to deteriorate settling at a new 29 month low of ~\$2.10/MMBtu. During the year gas prices peaked in the ~\$8/MMBtu range in August 2022 as the world tried to digest the impact of the Russian/Ukrainian War on European and U.S. gas markets. Over the last few months gas storage has continued to build relative to the 5-year average. Underachieving demand continues to be the major theme as the excessively mild winter in Europe has helped the EU achieve a 20% reduction in gas demand vs the initial goal of 15%, which seemed like a lofty dream when it was established in the summer of 2022. Most analysts project limited upside for gas pricing in the near-term due to high current production and limited demand drivers in 2023. In the long-term 1) LNG exports 2) continued coal to gas switching and 3) the world’s continued transition to cleaner sources of fuel likely provide upside for pricing.

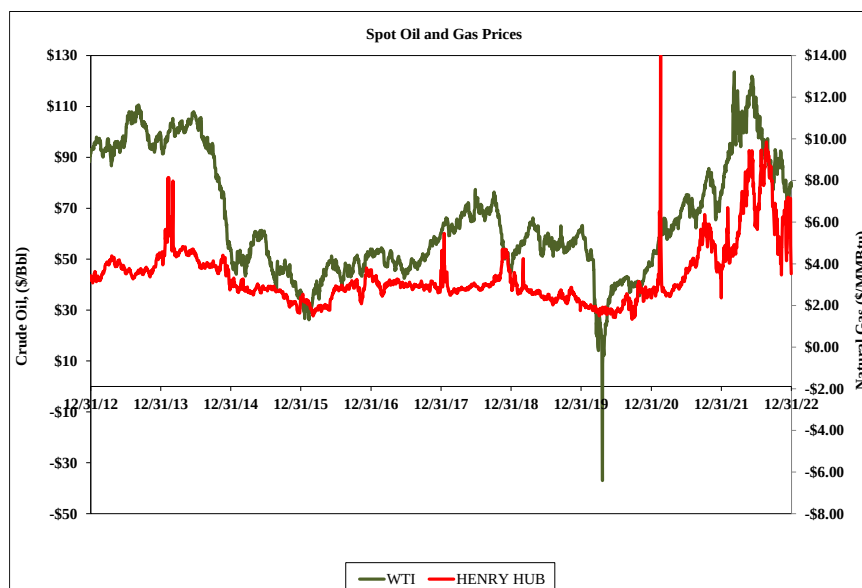


Figure 1: Oil & Gas Spot Prices

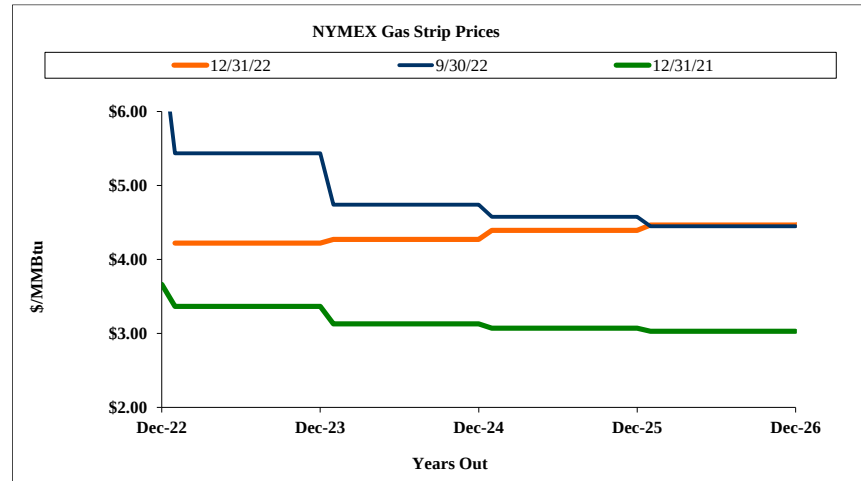


Figure 2: Natural Gas (Henry Hub) Strip Prices

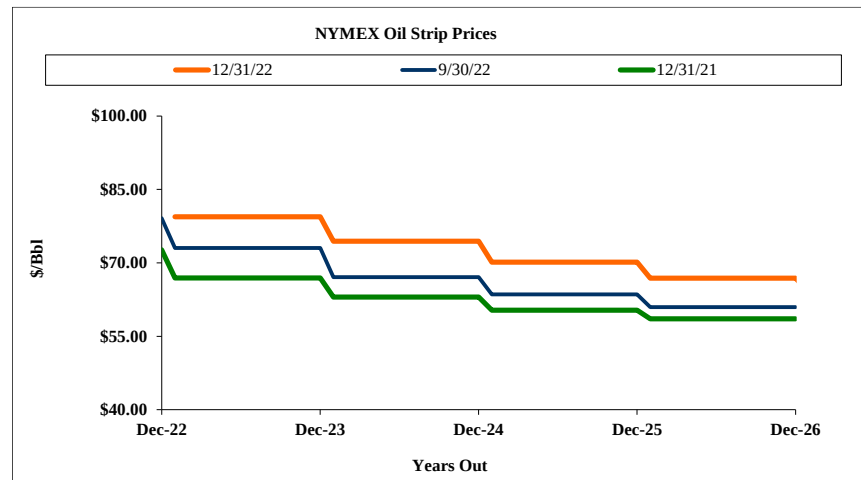


Figure 3: Crude Oil (WTI) Strip Prices

Drilling Activity

During Q4 2022, the total U.S. rig count (as measured by Baker Hughes) increased 1.8% QoQ to 779 rigs. This total rig count represented an increase of 32.9% YoY. The U.S. total natural gas rig count finished the quarter at 156 rigs, down from 159 rigs running at the end of Q3 2022. Year-over-year, the U.S. total natural gas rig count finished up 47.2%. The U.S. total oil rig count increased 2.8% during Q4 2022, moving from 604 rigs at the beginning of the quarter to 621 rigs at quarter-end. Year-over-year, the U.S. total oil rig count is up 29.4% or ~141 rigs.

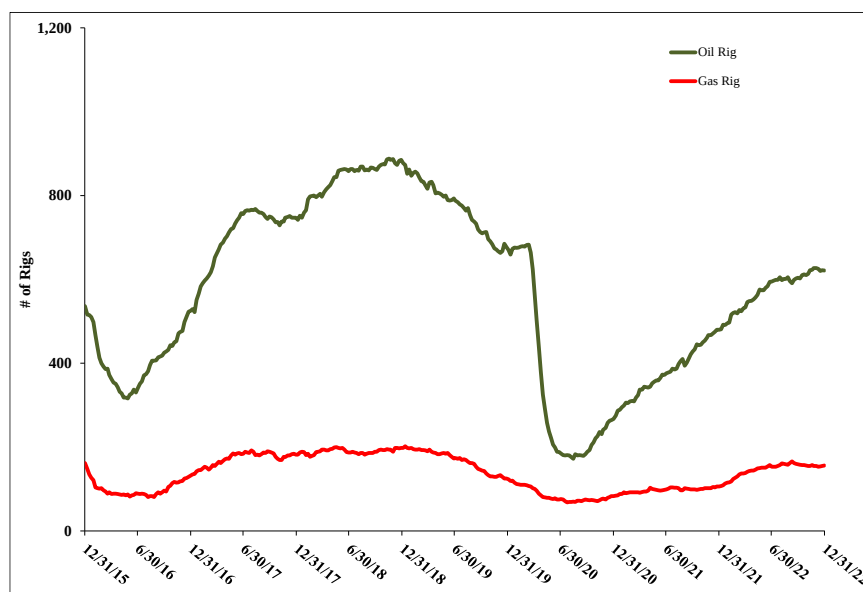


Figure 5: U.S. Total Onshore and Offshore Rig Count

M&A Activity

During 2022 the total M&A upstream deal count fell to its lowest level since 2005 and was down ~24% YoY. Total deal value declined by ~13% during the period to ~\$58 billion and was particularly depressed during the last half of 2022. The decreased upstream M&A deal flow was largely driven by 1) weakening commodity prices during the 2nd half of 2022 and 2) a generally weak U.S. macroeconomic picture and near-term recession fears. The need for public free cash flow heavy operators to secure core inventory and offset production declines should provide a positive backdrop for upstream M&A and private equity backed sellers during 2023. Total upstream M&A deal value came in at ~\$13 billion during Q4 2022, driven largely by the Hamm's family \$5.2 billion take-private of Continental Resources. Other notable transactions during the quarter included 1) Diamondback's \$1.5 billion purchase of Permian assets from Lario Oil & Gas 2) Marathon's \$3 billion purchase of Eagle Ford assets from Ensign Natural Resources and 3) Diamondback's \$1.6 billion purchase of Permian assets from Firebird Energy.

Report Sources: Enverus, Baker Hughes, Rapidan Energy Group, National Bank of Canada and U.S. Energy Information Administration.



ENCAP INVESTMENTS L.P.

EnCap Energy Capital Fund XI

Section III: Portfolio Companies

1. SILVERBACK II
2. ENDURING IV
3. SABLE BAY
4. BLACK SWAN
5. FORGE II
6. XCL
7. PIEDRA IV
8. SILVERADO
9. RAISA III
10. PALOMA V
11. SPECIAL OPPORTUNITIES
12. ARBOR GAS
13. GRAYSON MILL II
14. GRENADIER III
15. PEGASUS II
16. ENCAP MINERALS
17. VERDUN II
18. SABALO II
19. PALOMA VI
20. DOUBLE EAGLE IV
21. TUMBLEWEED IV
22. EARTHSTONE
23. M6 Midstream



Valuation Assumptions

Valuations have generally been determined as follows (subject to adjustment for particular circumstances and review by the Advisory Board):

- 1) Private equity securities and mineral interests held during the initial investment period are valued at cost (which is considered fair value) until such time as there is a measurable change in fair market value based upon the assumptions below.
- 2) Private equity exploration and production investments held after the initial investment period (generally longer than twelve months unless an expansion from an earlier fund) are valued at the risk adjusted PV10 of the future cash flow stream. The future cash flow stream is based on third party engineered projections applying the NYMEX forward strip pricing as of the valuation date.

The reserve categories were generally risked as follows:

- a. PDP – no discount applied
- b. PDNP – a 20% discount applied
- c. PUD – a 40% discount applied
- d. Probable – a 80% discount applied
- e. Possible – a 90% discount applied

The average NYMEX strip prices by year as of December 31, 2022 were as follows:

	<u>\$/BO</u>	<u>\$/MMBTU</u>
2023	79.40	4.22
2024	74.42	4.27
2025	70.16	4.39
2026	66.88	4.46
2027+	64.14	4.50

Unevaluated oil and gas leaseholds and other operating assets, such as gathering systems and processing plants, are valued at measurable inputs, such as original acquisition price and more recent public or private transactions in similar assets.

- 3) Non-producing and early stage mineral interests and ORRIs are valued at precedent transactions or discounted cash flows if underlying third-party reserve reports are available. Mature producing mineral interests and ORRIs are valued using a cash flow multiple of actual trailing 12 month cash flow. The cash multiple utilized is derived by taking into consideration market and asset specific factors including, but not limited to: location; life cycle or maturity of the asset; projected growth profile; precedent transactions; and comparable public market trading multiples.
- 4) Paloma V is valued based on the expected indemnity holdbacks per the terms of their sale agreement.
- 5) Earthstone Energy (NYSE: ESTE) 19,819,820 common units valued at the quarter end share price of \$14.23/share.

Note: Valuation assumptions 1) through 5) as presented above apply to all investments currently held by Fund XI. The remaining assumptions constitute the standardized valuation methodology to potentially be applied in future periods and are provided for informational purposes only.

- 6) Non-restricted public securities are valued at the quoted price at the end of the quarter.
- 7) Subordinated and restricted public securities (assuming adequate float) are valued at 90% of the quoted price at the end of the quarter.
- 8) Debt securities are valued at the face amount of the note plus accrued interest (less any reserve for uncollectible amounts or credit risk discounts).
- 9) Redeemable preferred securities are valued at the face amount of the issue plus accrued dividends (less any reserve for uncollectible amounts).
- 10) Other private/public equity securities with limited trading volume are valued based on relevant factors including NAV, comparables, significant events, etc.



Silverback Exploration II, LLC

Company Description

Silverback Exploration II (“Silverback II”) is a privately-held, San Antonio-based independent oil and gas company. The Silverback II management team is largely made up of individuals from Silverback Exploration I (“Silverback I”), a highly successful Fund IX portfolio company, and will be led by Steve Lipari (CEO), David Frye (VP of Land) and Jon Conaway (VP of Exploration). In addition to working together at Silverback I, each management team member also gained substantial experience and contacts in the industry from past roles at companies such as EOG Resources, Matador Resources, Newfield Exploration and Vitruvian Exploration. Additionally, George Young Jr. (former CEO of Silverback I) will act as an advisor in Silverback II.

Silverback II intends to employ a strategy very similar to that of Silverback I by leveraging its deep technical skills and experiences and extensive relationships to pursue unconventional projects through a combination of (i) producing and non-producing property acquisitions, (ii) grass-roots leasing efforts and (iii) farm-ins or joint ventures with operators whose large leasehold positions exceed their ability to timely develop and maintain their acreage. Initially, the team will focus on seeking out proprietary, privately-negotiated opportunities and thus are targeting areas in which they have the most experience and contacts, primarily the Permian Basin and South Texas.

Transaction Summary

In June 2017, Fund X committed \$243 million, Fund XI committed \$243 million and management committed \$14 million, providing a total equity commitment of \$500 million to Silverback II. In August 2018, Fund X’s commitment was transferred to Fund XI as a means to manage Fund X’s overall commitment level. Fund XI reimbursed Fund X for start-up costs incurred to date plus interest at 8%. The investment is structured in the form of common equity with Fund XI receiving 97.2% of distributed cash until an 8% IRR and 1.15x ROI is achieved. Distributions thereafter will be allocated on a graduated basis as additional IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

On November 10, 2021, Silverback II closed the acquisition of EOG Resources’ core Northwest Shelf assets in New Mexico for total consideration of \$38.6 million. The assets consist of ~40,000 net acres with ~\$15 million of PDP PV-10 value (net of P&A liabilities) at signing. Additionally, the assets have existing midstream and SWD infrastructure.

The Northwest Shelf is an established vertical play that has seen a recent increase in activity as operators adopt horizontal drilling techniques with enhanced completions. Management has identified numerous greenfield development locations with attractive drilling economics.

Recent Events

During the fourth quarter, Silverback completed and started flowing back two additional horizontal wells, ending the year with 9 wells turned-in-line (“TIL”). Well results continue to look encouraging. Silverback picked up a rig in December 2022 focused on further delineation. Going forward, the company will be focusing on developing its assets at a prudent pace while subsequently building out its water infrastructure. We will continue to monitor well results and adjust activity as market conditions dictate.

Valuation (\$000’s)

The Unrealized Value is based on the PV10 of the future cash flow stream on a risk adjusted basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	Projected ROI	Projected IRR
July-17	\$155,846	\$0	\$174,538	\$174,538	1.12x	N/A



Enduring Resources IV, LLC

Company Description

Enduring Resources IV is a privately held, independent oil and gas company based in Denver, CO. The company is led by the former management team of Westport Resources, a publicly traded independent that sold to Kerr-McGee in 2004 for \$3.4 billion. Additionally, management is substantially the same team from Enduring I & II, which were both highly successful EnCap entities. After its formation in 2004, Enduring I built asset bases in East Texas, South Texas, and the Rockies. The company exited the majority of its assets through three major individual sales: a \$603 million sale of its East Texas properties to Cabot Oil & Gas (NYSE: COG) in August 2008; a \$1.325 billion sale of its South Texas/Eagle Ford Shale assets to a 50/50% joint venture between Talisman (NYSE: TLM) and Statoil (NYSE: STO) in December 2010; and a \$43 million sale of its East Texas Robertson County assets in February 2011. Enduring I generated a 41% IRR and a 2.5x ROI on \$162 million invested for Fund V and a 333% IRR and a 2.3x ROI on \$42 million invested for Fund VII. Following its inception in 2011, Enduring II pursued multiple projects in West Texas and the Rockies but ultimately focused its efforts on the Southern Midland Basin, where it amassed 63,000 net acres in Reagan and Irion counties and drilled over 50 operated horizontal wells with four rigs running at the time of the sale. In 2014, the company sold this asset for \$2.5 billion to an affiliate of American Energy Partners and generated a 68% IRR and 2.9x ROI for both Fund VII and Fund VIII on \$106 million and \$170 million of invested capital, respectively. The company will execute a strategy similar to the one deployed in Enduring I & II, whereby Enduring IV will build a compelling acreage position in one or more onshore U.S. basins through a combination of acquisitions, greenfield leasing, and farm-ins. The team will then rely on its proven technical and operating expertise to execute a development program utilizing optimized drilling and completion techniques to create value.

Transaction Summary

Enduring IV was formed in June 2017 with a \$1.0 billion commitment consisting of \$475 million from Fund X, \$475 million from Fund XI, and \$50 million from management. In Q1 2018, the company increased its commitment to \$1.05 billion consisting of \$475 million from Fund X, \$475 million from Fund XI, \$52.5 million from management, and \$47.5 million from an affiliate of Avista Capital Partners. The investment is structured as common equity, with EnCap receiving a proportionate share of the distributions until simple payout is achieved. Thereafter, distributions will be allocated on a graduated basis after certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

In July 2017, Enduring IV made a ~\$250 million acquisition of a large operator's San Juan Basin assets. This acquisition included ~\$200 million of PDP PV-10 and ~135,000 net acres with meaningful upside across all hydrocarbon phase windows of the Mancos Shale. Additionally, Enduring IV sees significant value in optimizing costs on existing legacy wellbores.

In Q1 2018, Enduring IV closed on its previously announced acquisition of WPX Energy, Inc.'s (NYSE: WPX) San Juan Basin oil assets for \$700 million that was substantially underpinned by PDP value. The acquired assets encompass ~93,000 net acres in the prolific core of the oil window with ~22.0 Mboe/d of production (74% liquids). Enduring IV will look to develop its inventory of highly economic locations with modern completions to drive value.

Recent Events

Currently, Enduring IV has ~230,000 net acres across all hydrocarbon phase windows of the Mancos Shale with ~25 MBoe/d of production. After initiating development in July 2018, the company experienced significant operational issues and delays related to the required infrastructure build-out, which led to cost overruns and mixed results on its first series of Mancos oil horizontal wells. In response, management slowed down its development pace and overhauled its field operations team and D&C protocols. However, this delay in development also resulted in increased midstream obligations.



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In early 2020, Enduring IV halted all development plans (with 6 DUCs outstanding) as commodity prices declined. The company focused its efforts on reducing operating expenses, cutting overhead costs, and paying down debt. The company successfully paid down considerable debt over the course of 2020 and 2021 and has benefitted significantly from its implemented cost reductions, which are expected to be sustainable.

Enduring IV is now on solid footing and plans running a one rig program in 2023. The company plans to operate with a moderate reinvestment rate and initiated distributions from free cash flow in the 4th quarter of 2022. Management will continue to monitor its development program and asset performance to determine appropriate quarterly distribution levels going forward. Additionally, management continues to explore consolidation opportunities to realize value from added scale.

Valuation (\$000's)

The Unrealized Value is based on the PV10 of the future cash flow stream on a risk adjusted basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	Projected ROI	Projected IRR
July-17	\$271,771	\$5,201	\$323,419	\$328,620	1.21x	N/A



Sable Bay Energy, LLC

Fully Realized

Company Description

Sable Bay Energy, LLC is a privately-held, Houston-based independent oil and gas company focused on the identification, acquisition and development of oil and gas assets within the U.S. The Sable Bay management team is led by Don Dotson (CEO), Doyle Adams (VP Geology), Eric Alfuth (CFO), Don Adams (Executive VP Land), and Matthew Hoops (VP Land). Mr. Dotson is currently the President & COO of Plantation V. He joined Plantation II in 2004 as COO and managed all technical and operational functions through the successful sales of Plantation II, Plantation III, and Plantation IV. The Sable Bay management team supplements Mr. Dotson's experience of leading private equity companies with a highly capable, young technical group with backgrounds of evaluating shale plays on behalf of larger organizations.

The initial strategy will be to capture a meaningful acreage position in an area with known hydrocarbon production. The team will look for opportunities with large resource potential that (i) are located in areas with producing vertical wells from formations previously untested horizontally, (ii) are located in areas with producing horizontal wells, but of older vintage where there is upside in modern completion techniques, and (iii) have multi-bench potential. In addition, the team will look for opportunities with existing infrastructure in place or a clear path to future infrastructure build out. Sable Bay will focus on operated positions and evaluate the deals with an exit in mind and a clear understanding of the potential buyer universe.

Transaction Summary

In August 2017, Fund XI committed \$247.9 million and management committed \$2.1 million, providing a total equity commitment of \$250.0 million to the company. The investment is structured in the form of common equity with Fund XI receiving 99% of distributed cash until an 8% IRR is achieved. Distributions thereafter will be allocated on a graduated basis as additional IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

In Q4 2018, EnCap and management made the decision to wind down the company due to the inability to capture a compelling asset in current market conditions.

Valuation (\$000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Aug-17	\$5,950	\$0	\$0	\$0	0.00x	N/A



Black Swan Oil & Gas, LLC

Company Description

Black Swan is a privately-held, Oklahoma City-based independent oil and gas company focused on the identification, acquisition, and exploration of liquids-rich plays in various onshore US basins. Black Swan is led by Ian Yingling (CEO), Jason Kneedy (EVP Exploration), David LaLonde (CFO), Jeff Brooks (VP - Land), and Kathy Brotherton (VP – Business Development). Mr. Yingling has 16 years of industry experience and has previously held leadership positions within reservoir and operations engineering functions as well as business development at many well-respected companies including Occidental Petroleum Corporation (NYSE: OXY), Dominion Energy Inc./HighMount (NYSE: D), Continental Resources, Inc. (NYSE: CLR), Warwick Energy Group, and Sherman Energy. Mr. Kneedy, began his career at Chesapeake Energy Corporation (NYSE: CHK) in 2004, and most recently served as Advisor – US Risk Capital, Technical, Strategy & Operations, where he oversaw the generation and evaluation efforts for all new play opportunities and served as the lead geologic representative for the company's strategic planning and business development divisions. Mr. LaLonde has over 15 years of corporate finance and transaction experience in the energy industry, having most recently served as the CFO of Riley Permian. Prior to Riley Permian, Mr. LaLonde was a Partner at Petro Capital where he co-managed E&P activities of the firm. Mr. Brooks has over 17 years of land experience across all the major L48 basins from his time at Chesapeake, where he most recently served as the Director of Land for Business Development and Exploration. Mrs. Brotherton has over 35 years of business development and land experience, most recently serving as Director of Land and Business Development for J. Cleo Thompson, where she was instrumental in J. Cleo Thompson's growth and ultimate sale of its Delaware Basin assets to Oxy for >\$1.0 billion in October 2016.

Transaction Summary

In October 2017, Fund XI committed \$248.5 million and management committed \$1.5 million, providing a total equity commitment of \$250.0 million to the company. In July 2021, Fund XI expanded its commitment to Black Swan by \$249.4 million and management expanded its commitment by \$0.6 million, providing a pro forma total commitment of \$500 million. The investment is structured in the form of common equity with Fund XI receiving 99.5% of distributed cash until an 8% IRR is achieved. Distributions thereafter will be allocated on a graduated basis as certain IRR and ROI targets are met.

In Q2 2021, Fund XI expanded its commitment from \$250 million to \$500 million to support the continued growth and development of the company's Midland Basin asset. Subsequently, in Q2 2022 Fund XI and Management expanded its commitment by an additional \$50 million, providing a pro forma total of \$550 million. EnCap believes the expanded commitment will leave the company well capitalized to capture various bolt-on acquisitions and fund the development of infrastructure to support the Company's operated development program.

Post Investment Activity

In June 2018, Black Swan acquired ~8,000 net acres in the Green River Basin as a part of the Bureau of Land Management's June lease auction in Wyoming. Lease terms for the acreage are extremely advantageous as they contain high NRIs (87.5%) and ten-year terms, which provide maximum development flexibility. Management targeted this area for its attractive well results from Southland, BP, and others, multi-zone potential, and low entry cost relative to other premier basins. Early wells in the basin have targeted the Lewis and Foxhills formations with more modern completion techniques yielding significant improvement in EUR. In Q3 2019 Black Swan opportunistically divested its position in the Green River Basin in order to focus its efforts on the highly compelling Midland Basin where the company has gained traction and is building a position.

In Q2 2021, Fund XI and Management expanded its commitment from \$250 million to \$500 million to support the continued growth and development of the Company's Midland Basin asset. Subsequently, in Q2 2022 Fund XI and Management expanded its commitment by an additional \$50 million, providing a pro



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forma total of \$550 million. EnCap believes the expanded commitment will leave the company well capitalized to capture various bolt-on acquisitions and fund the development of infrastructure to support the Company's operated development program.

Recent Events

As of Q4 2022, Black Swan holds ~20,800 largely contiguous net acres in the Midland Basin, which are almost entirely HBP. Additionally, the company owns ~13,800 NRAs largely under their operated leasehold position. The company is focused on continuing to expand its operated leasehold position and opportunistically acquire mineral interests under its operated footprint in Martin County.

During the quarter, Black Swan brought 13 horizontal wells online. The 5-well Biff pad (Middle Spraberry, Lower Spraberry, Jo Mill, Wolfcamp A, and Wolfcamp B), the 3-well McFly pad (Middle Spraberry, Lower Spraberry, and Wolfcamp B), and the 5-well Falken pad (Middle Spraberry, Lower Spraberry, Jo Mill, Wolfcamp A, and Wolfcamp B). The company is currently completing the 5-well Claire pad (Middle Spraberry, Lower Spraberry, Jo Mill, Wolfcamp A, and Wolfcamp D) and the 5-well Vernon pad (Middle Spraberry, Lower Spraberry, Jo Mill, Wolfcamp A, and Wolfcamp D). Black Swan expects first production for these 10 wells in March 2023. To date, the company has brought 34 horizontal wells online across seven pads (9 Lower Spraberry, 8 Wolfcamp A, 5 Jo Mill, 6 Wolfcamp B, 5 Middle Spraberry, and 1 Wolfcamp D).

Given encouraging early time well results, Black Swan added an additional rig and is currently running a three-rig development program. The company plans to continue its three-rig development program for the remainder of 2023 and has the ability to quickly ramp down activity if the price environment deteriorates.

Valuation (\$000's)

The Unrealized Value is based on the PV10 of the future cash flow stream on a risk adjusted basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	Projected ROI	Projected IRR
Oct-17	\$497,670	\$0	\$1,123,633	\$1,123,633	2.26x	N/A



Forge Energy II, LLC

Company Description

Forge Energy II, LLC is a San Antonio, Texas based independent oil and gas company. The management team consists of Barry Winstead (CEO), Danny Boone (Business Development), and Dan Weisel (CFO). Prior to Forge I, Management worked together in various roles at Burlington for more than 20 years, including 10 years together in senior management positions.

In February 2018, Forge I closed on the sale of its Delaware Basin assets to Oasis Petroleum, Inc. (NYSE: OAS) for \$483.4 million in cash and 46.0 million shares. These assets included ~22,000 net acres and 3,500 Boe/d of production in Winkler, Loving, and Ward Counties, Texas. Forge I ultimately invested \$524.9 million of equity, comprised of \$279.7 million from Fund VIII, \$105.0 million from Fund VIII Co-Invest, \$128.2 million from Pine Brook, \$5.3 million from Friends and Family, and \$6.6 million from management.

At closing on February 14, 2018, after accounting for debt and other miscellaneous purchase price adjustments, Forge I received \$436.9 million of cash proceeds from OAS, resulting in distributions to Fund VIII and Fund VIII Co-Invest of \$233.0 million and \$87.4 million, respectively, equating to a 0.8x cash-on-cash ROI net to each Fund. Additionally, OAS issued 46.0 million shares to Forge I. The waterfall was crystallized at \$11.45/share (based on the 10-day VWAP as of May 15, 2018) and the remaining shares were distributed according to this valuation (~18.8 million shares distributed to Fund VIII and ~7.0 million shares distributed to Fund VIII Co-Invest). Overall, this is a strong result for Forge that was largely driven by Forge's ability to shift its strategy and deploy capital in the core of the Delaware Basin from 2016-2018.

In December 2017, Forge I formed Forge Interests, LP, an entity created to hold carved-out ORRIs from leases with NRIs in excess of 75% and mineral interests purchased by the Company. Forge Interests, LP holds 1,939 net royalty acres (normalized to a 12.5% royalty burden) in Winkler, Loving, and Ward Counties, Texas. We believe these non-cost bearing interest will likely represent meaningful future value for Forge I, which will further enhance the overall return net to EnCap.

Forge II will initially focus on the Delaware Basin, but will be opportunistic as it relates to other areas of focus. Per Management's desire to simplify the structure and governance of Forge II, Pine Brook and Friends and Family investors will not participate; Management and EnCap Fund XI will be the sole investors in Forge II at formation.

Transaction Summary

In June 2018, Fund XI committed \$392.0 million and management committed \$8.0 million, providing a total equity commitment of \$400.0 million to the company. The investment is structured in the form of common equity with Fund X receiving 97% of distributed cash until an 8% IRR is achieved. Distributions thereafter will be allocated on a graduated basis as additional IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

In November 2019, Forge II acquired ~2,000 net acres in the Delaware Basin from XTO Energy. Lease terms for the acreage are extremely advantageous as they contain high effective NRIs (83%) and is 100% HBP, which provide maximum development flexibility. Management targeted this area for its attractive well results from Felix II, Jagged Peak, Concho, and others, multi-zone potential, and Forge's past success in the area.

Also in November 2019, Forge II acquired ~200 net acres from Bill Pearl Productions, directly offset their existing position in the Delaware Basin.

In December 2020, Forge II acquired Occidental Petroleum's Red Bull South assets for a total purchase price of \$112.2 million. These assets consist of ~26,500 net acres, located in Reeves and Pecos Counties, TX and the value of the acquisition was underwritten by PDP PV-10 value from 76 producing wells. The



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position is largely HBP and Management believes there is meaningful upside to be unlocked through already-identified operational optimization.

Recent Events

During the fourth quarter of 2022, Forge II turned the 3-well Iron Mike pad, 2-well Duiker pad, and 5-well Lyssa pad online. Additionally, added production history on recent key tests gives us further confidence in the prospectivity of additional development locations across Forge's leasehold position. Current net production is ~12,300 Boepd.

Forge II plans to run a more measured development program going forward, dropping to one rig at the end of Q1 2023. The company continues to seek opportunities to bolster its core acreage position through bolt-on acquisitions, swaps, and trades.

Valuation (\$000's)

The Unrealized Value is based on the PV10 of the future cash flow stream on a risk adjusted basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	Projected ROI	Projected IRR
Jun-18	\$265,020	\$0	\$441,269	\$441,269	1.67x	N/A

**XCL Resources Holdings, LLC****Company Description**

XCL Resources is a privately held, Houston-based independent oil and gas company focused on the acquisition and development of liquids-rich basins in the United States. XCL is led by Gray Lisenby (CEO), Blake McKenna (President, EVP Operations), and Eric Matus (CTO). Mr. Lisenby was most recently SVP & CFO of Rice Energy (“Rice”) and Rice Midstream Partners (“RMP”), where he was integral in the companies’ rapid growth and value creation. In total, Rice completed over \$4.0 billion in transactions, grew production from 50 MMcf/d to 1.3 Bcf/d (\$1.8 billion capital budget in 2017), and outperformed almost all E&P peers from IPO to exit (sold to EQT for ~\$10.0 billion in 2017). Mr. McKenna was most recently Senior Engineer at Vitesse, where he led engineering efforts and closed over \$300 million of non-op Bakken acquisitions. Prior to Vitesse, Mr. McKenna spent seven years at EOG across all major engineering disciplines in multiple basins, including the Bakken where he managed over 45,000 Boe/d of production. Mr. Matus was previously Senior Engineer at Vitesse, where he pioneered a system to employ “big data” in the evaluation of individual DSUs basin-wide by integrating production, D&C, and geologic data. Previously, Mr. Matus worked at EOG and was instrumental in prototyping many of EOG’s proprietary iApps. XCL intends to leverage its diversified team experience to be opportunistic as it employs a data-driven, acquire & develop strategy with its initial focus in the Williston Basin. Focusing on risk-adjusted returns, Management will utilize its deep technical expertise across the value chain to identify opportunities that possess asymmetric risk/reward opportunities.

Transaction Summary

In July 2018, Fund XI committed \$394.0 million, Rice Investment Group committed \$20.0 million, other investors committed \$1.1 million, and management committed \$5.1 million, providing a total equity commitment of \$420.2 million to the Company. The investment is structured in the form of common equity with Fund XI receiving 93.75% of distributed cash until an 8% IRR is achieved. Distributions thereafter will be allocated on a graduated basis as certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

In December 2019, XCL’s commitment was expanded by \$200.0 million (\$191.2 million net to Fund XI) to \$620.2 million (\$585.2 million net to Fund XI) to fund the closing of a significant transaction in the Uinta Basin and to provide dry powder for future capital needs.

Post Investment Activity

Following inception, XCL evaluated multiple basins for high quality development opportunities. The Company entered the Bakken in Q1 2019 through a series of small acquisitions, ultimately capturing ~2,500 net acres (100% HBP) in an attractive area at a low cost basis. Due to a wide bid/ask spread between the Company and offset operators, XCL was unable to build adequate scale and shifted its focus to other potential opportunities. XCL is currently evaluating options for this asset.

In December 2019, XCL closed on the acquisition of ~44,500 net acres in the Uinta Basin with ~9.2 MBoe/d of production for \$625 million. The acreage is >90% HBP and 78% operated with attractive 80% NRIs. Additionally, the position is highly contiguous and configured for all two-mile DSUs. XCL was attracted to the overpressured, multi-stacked, and oil-driven pay on this asset, which was highly delineated by 24 producing, horizontal wellbores. Management will seek to create value by developing its highly economic inventory in a cost-efficient manner using optimized completion techniques.

After closing its acquisition, XCL initiated its development program with the initial goal of confirming the viability of slickwater completions and optimal well spacing. The company completed three wells with slickwater in Q1 2020 that have met expectations to date. In Q4 2020, the company completed its first 5-well spacing test, and in late 2021, XCL completed its first 9-well spacing test. Well results continue to validate the compelling development thesis of XCL.

**Recent Events**

The company is currently running 3 rigs to bring value forward through large-scale development. XCL will drop a rig in Q1 2023 given its success in lowering drilling times, while maintaining one completion crew. Well results from its cube developments have met or exceeded expectations, and the company continues to execute at a high level. XCL plans to realize material production and cash flow growth over the course of 2023.

Valuation (\$000's)

The Unrealized Value is based on the PV10 of the future cash flow stream on a risk adjusted basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	Projected ROI	Projected IRR
Jul-18	\$571,525	\$0	\$919,309	\$919,309	1.61x	N/A



Piedra Energy IV, LLC

Company Description

Piedra IV is a privately held, Midland-based oil and gas company managed by Chip Smith and Robert Beecherl that is focused in the Permian Basin. The team initially partnered with EnCap Fund VII in Piedra I and II. In Piedra I, the company sold Wolfberry assets to Berry Petroleum for \$123 million, providing Fund VII with a 2.4x ROI and 47% IRR on \$45 million invested. In Piedra II, the company sold 7,668 acres primarily in Martin County, Texas to Athlon for \$170 million net to Piedra II. After accounting for debt repayment and other holdbacks, the company distributed ~\$106 million net to Fund VII. Piedra II also sold 739 net acres in Reeves and Pecos Counties, Texas to Diamondback for ~\$31.5 million in gross proceeds, or ~\$20.8 million net to Fund VII. This acreage was a tag-along sale to Diamondback's acquisition of Brigham Resources, which closed in February 2017. Overall, Fund VII realized a 3.2x ROI and 48% IRR. Prior to Piedra, Mr. Smith spent 18 years focused on property acquisitions and exploration and was formerly the founder/co-founder of Charter Royalty Company, Parsley & Smith and Vecta Technology. Mr. Beecherl spent 19 years focused on acquisitions and divestments at Vecta Technology, Sugarberry Oil & Gas and Verdad Oil and Gas. Piedra III was founded in May 2014 and has invested substantially all of its \$340 million total equity commitment capturing an attractive minerals portfolio in the core of the Midland and Delaware basins and leasehold position in the Midland basin, substantially all of which remain unrealized. Given Piedra III's limited capacity for incremental investment, Piedra IV was formed in August 2018 to pursue additional opportunities. The Piedra IV management team is led by the same management team as Piedra III, which includes the Piedra founders, Chip Smith and Robert Beecherl, and Sam Beaufait (CFO) and Chris Ryden (Business Development), all with strong track records in value creation in the Permian Basin. Piedra IV will maintain the same dual-track strategy of 1) pursuing exploration and development of lower risk resource plays with scalability and upside potential and 2) acquiring mineral interests primarily in the Midland and Delaware basins.

Transaction Summary

Fund XI formed a limited liability company with Piedra IV in August 2018, committing \$240 million. The management team committed \$12 million providing total capital committed of \$252 million to the company. The investment takes the form of common equity with Fund XI receiving 95% of the available cash flow until an 8% IRR and a 1.0x ROI is earned, and thereafter distributions are allocated on a graduated basis until higher IRR and ROI targets are met. All exploration and production assets will be held in Piedra Energy IV, LLC, while for tax purposes mineral related interests will be held in Rock River Minerals IV, LP (both entities collectively referred to as "Piedra IV"). EnCap holds a majority position on the Board of Managers.

Post-Investment Activity

Piedra IV initially focused its efforts on acquiring mineral interests through Rock River Minerals IV ("RRM IV"). Since August 2018, the company has captured ~8,700 net royalty acres ("NRA") (normalized to 1/8th royalty rate) primarily in the heart of the Midland Basin, where activity remains robust. Due to the nature of mineral interests, there are no additional capital requirements or operating expenses associated with the assets after their initial purchase. Furthermore, there is no risk of the interests expiring, as is the case with traditional leasehold acquisitions.

During the first quarter of 2022, the company closed on the acquisition of 2,913 net leasehold acres in Andrews County. Management has a deep understanding of the area and plans to pull meaningful value forward through the drill bit. The position remains prospective for horizontal development in multiple benches, including the Lower Spraberry, Middle Spraberry, and Wolfcamp B.

Recent Events

Piedra IV has accumulated ~8,700 NRAs in the Permian Basin. The company has ~8,400 NRAs in the Midland Basin and ~300 NRAs in the Delaware Basin. All of the acreage continues to be de-risked by XTO Energy, Pioneer, Endeavor, Diamondback, and other well capitalized companies. As commodity prices remain constructive, the company expects operator activity to increase and cash flow to grow (2023E cash



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flow of approximately \$25 - \$30 million). The company continues to evaluate numerous accretive opportunities within its current target areas.

During the fourth quarter, the company brought its initial 6-well pad online in Andrews County with encouraging early time results. The company plans to focus near-term development efforts on its core inventory, with 27 current DUCs expected to come online through April.

Valuation (\$000's)

The Unrealized Value is based on a cash flow multiple of actual trailing 12 month cash flow.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	Projected ROI	Projected IRR
Dec-18	\$249,524	\$0	\$452,840	\$452,840	1.81x	N/A



Silverado Oil & Gas LLC

Fully Realized

Company Description

Silverado Oil & Gas LLC (“Silverado”) is a privately-held, Woodlands, TX-based company focused on pursuing large-scale acquire and exploit opportunities with an initial focus on the Permian, Eagle Ford, Williston and Anadarko basins. Silverado is led by Larry Massaro (CEO) and Trevor Reuben (CFO). Massaro and Reuben have worked together for a number of years and most recently served as CFO and VP of Corporate Development, respectively, at Newfield Exploration (“Newfield”), where they led the financial, business development and strategic aspects of the company prior to its \$7.7 billion sale to Encana in February 2019. Massaro and Reuben are initially joined by ten other individuals, all of whom worked with them at Newfield. The senior-most individuals are Ed Haas and Luis Faya, two engineers who will oversee Silverado’s operational and reservoir engineering efforts, respectively. Haas most recently served as VP of Production at Newfield, where he was responsible for managing 35 professional and 400 field operations staff, operating 4,000 wellbores and helping implement Newfield’s capital and operating budget. Faya most recently served as the Technical Director of Corporate Development at Newfield, where he led A&D, M&A and NAV technical evaluations for asset, corporate and new venture opportunities. The remaining individuals span the disciplines of drilling, marketing, finance, reservoir engineering and geology.

Silverado plans to pursue large acquire and exploit opportunities with an initial focus on the Permian, Eagle Ford, Williston and Anadarko basins. Targeted assets will have a PDP component along with substantial upside potential and the ability to employ scale and integration to optimize full-field development. Management believes there are a number of strategic assets that are currently available for sale (or will soon become available) due to industry participants being forced to live within cash flow and direct capital budgets toward a subset of their existing asset base, leading them to divest quality assets. After the capture phase, Management is prepared to own and operate assets for an extended period of time if necessary, extracting value through a multi-year exploitation plan with a rigorous focus on financial and operational discipline, creating a going-concern business that does not rely on external funding.

Transaction Summary

In March 2019, Fund XI committed \$492.5 million and management committed ~\$6.4 million providing a total equity commitment of ~\$498.9 million to the company. The investment is structured in the form of common equity with Fund XI receiving 98.7% of distributed cash until an 8% IRR and 1.25x ROI is achieved. Distributions thereafter will be allocated on a gradual basis as additional return hurdles are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

In Q3 2021, EnCap and management made the decision to wind down the company due to the inability to capture a compelling asset in current market conditions. The wind down was completed in Q4 2021.

Valuation (\$000’s)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Mar-19	\$15,813	\$0	\$0	\$0	0.00x	N/A



Raisa III Holdings, LLC

Fully Realized

Company Description

Raisa III is a privately held, Denver-based independent oil and gas company focused on building an attractive non-operated asset base through acquiring small non-operated working interests and mineral interests in the core of de-risked basins that demonstrate the most economic drilling opportunities in the country. The Raisa III management team is led by the same individuals as Raisa II and consists of Luis Rodriguez (CEO), Casey Harless (VP – Land), Jeremy Cook (CFO), and Ayman Kaheel (VP – Data Analytics). Raisa II was founded in April 2016 and has invested \$275 million out of its \$300 million 8/8ths equity commitment capturing an attractive non-operated working interest and minerals interest portfolio in the core of the DJ, Delaware, Anadarko, and Williston.

Raisa III will employ a similar strategy of acquiring small non-operated working interests and mineral interests in the core of de-risked basins which demonstrate the most economic drilling opportunities in the country. The Raisa team performs intense geologic and engineering analysis to identify the high-graded sections under the best and most efficient operators, generating a significant competitive advantage versus small local competitors. Management targets tier-one acreage in heavily delineated areas of highly economic basins, which helps to mitigate geological and engineering risk and to benefit from timely development of acquired acreage.

Transaction Summary

In May 2019, Fund XI committed \$98.0 million and management committed \$2.0 million, providing a total equity commitment of \$100 million to the company. The investment is structured in the form of common equity with Fund XI receiving 98% of distributed cash until an 8% IRR and 1.25x ROI is achieved. Distributions thereafter will be allocated on a graduated basis as additional IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

During the 4th quarter of 2021, we successfully closed the sale of Raisa Energy III, LLC to Savitar Energy Holdings, LLC, a company formed by Ares and Citadel. Net to EnCap, \$8.1 million of cash proceeds to Fund XI were received.

Valuation (\$000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Jun-19	\$13,132	\$8,068	\$0	\$8,068	0.61x	(19.8)%



Paloma Partners V Holdings, LLC

Substantially Realized

Company Description

Paloma V was formed in May 2020 and is led by Chris O’Sullivan (President), Mark Gabrisch (EVP Land), Scott Smith (EVP BD), Bobby Poirrier (CFO), and Doug Genrich (COO) (collectively “Management”). Management has a long track record of value creation with EnCap across multiple entities dating back to 1998. Paloma V’s initial strategy consisted of capitalizing on distressed opportunities in the upstream space arising from a combination of significant industry distress and capital scarcity. Between inception and late 2020, the team evaluated a wide range of situations, but Management ultimately concluded that its strategy was challenged due to an unexpected willingness by bondholders of distressed companies to support entrenched management teams through recapitalizations, management retention, and full or partial equityizations. In addition, bid/ask spreads were a common hurdle.

In late 2020, Paloma V shifted its strategy to focus on acquiring a diversified portfolio of rent/royalty payments from surface owners who have contracted their land to operators for solar installations and wind turbines. Concurrent with the strategy shift, Paloma V re-branded to Paloma Solar & Wind, LLC (“PSW” or the “Company”) and hired two key individuals with prior experience in this strategy. Typical contracts between surface owners and operators have 20-40 year primary terms with extensions, and PSW will focus on contracts with significant term remaining that are also underpinned by modern, large scale, and high quality generation assets where the operators have invested extensive upfront capital. The opportunity set is a highly fragmented market with many small acquisitions involved to achieve critical scale. This effort will require an experienced ground game to facilitate transactions with surface owners throughout the Lower 48, and the Paloma team is uniquely positioned to execute based on its proven ability to deploy ground game leasing in prior successful Paloma entities. After the accumulation phase, PSW will look to divest an attractive portfolio of low risk, long duration yield to large institutions or via a securitized product offering. Overall, we believe this platform is relatively unique in the institutional space at this scale, but the strategy can deliver compelling full-cycle returns upon successful execution of the company’s plan.

Transaction Summary

In May 2020, Fund XI committed \$196.0 million to Paloma V. Management committed \$4.0 million, providing a total equity commitment of \$200.0 million to the company. As part of the strategy shift to PSW, EnCap transferred \$10.0 million of its existing commitment to EnCap Energy Transition Fund I in March 2021. The investment will be structured in the form of common equity with Fund XI and ETF receiving 98% of distributed cash until a 10% IRR is achieved, and thereafter distributions will be allocated on a graduated basis as certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

In February 2022, EnCap signed and closed the sale of the PSW platform to Queensland Investment Corporation (“QIC”) for \$47 million. In February 2023, EnCap received two thirds of the indemnity holdback and expects to receive the final holdback in August 2023 before winding down the company by year-end.

Over the short lifespan of PSW, the company acquired an attractive and diversified portfolio of solar and wind royalties. PSW also made significant offers for royalty streams on several large scale solar projects but was unable to meet the asks. The PSW Board decided to internally run a strategic alternatives process in Q4 2021 after recognizing the difficulties in executing PSW’s business plan at scale. The primary challenges included: (i) the entrance of several well-capitalized and aggressive competitors with exceptionally low cost of capital, (ii) high brokerage costs required to chase ground game deals, and (iii) general unfamiliarity with the asset class made it difficult to secure a bank loan or to place a securitization. Overall, PSW’s strategy had merit, and the exit market came to fruition. However, the arbitrage between

**EnCap Energy Capital Fund XI***Portfolio Companies*

entry and exit valuations became too compressed to achieve target returns, which led to EnCap's decision to sell the platform.

Valuation (\$000's)

See valuation assumptions for valuation basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
May-20	\$41,850	\$37,200	\$7,745	\$44,945	1.07x	11.8%



Special Opportunities Capital, LLC

Substantially Realized **Company Description**

The purpose of Special Opportunities Capital (“SOC”) is to opportunistically invest in unique public securities or private investments that EnCap believes can deliver compelling returns. The entity may invest in a combination of common equity, preferred equity, and public bonds over time with varying strategies. These strategies may include making a highly liquid passive investment, participating in a recapitalization, taking a controlling interest, or taking an entity private. We believe the recent period of significant distress and volatility, coupled with severe capital scarcity in the industry, will lead to various opportunities to invest across the capital structure of select entities. As incremental opportunities materialize, SOC’s commitment may be expanded to accommodate future investments.

Transaction Summary

In November 2020, Fund XI provided an initial commitment of \$50 million. In March 2021, the commitment was expanded to \$75 million to gain additional exposure to the current investment.

Post Investment Activity

During 4Q 2020 and 1Q 2021, SOC deployed \$53 million to establish a meaningful ownership position in Denbury Inc. (NYSE: DEN) at an average share price of ~\$28.00/share. In September 2020, DEN emerged from bankruptcy and subsequently traded at a public enterprise value equivalent to our internal estimate of PDP PV-10. As such, the public market placed little to no value on DEN’s vast CO₂ infrastructure, which includes >1,000 miles of pipeline that could transport 800 MMcf/d of CO₂ along the Gulf Coast. EnCap believed the market would recognize the value of this infrastructure given its highly strategic proximity to the Gulf Coast industrial complex for carbon capture, utilization, and sequestration (“CCUS”) and ongoing efforts by the DEN management team to position the company as a leader in CCUS. By November 2021, the market valued the CCUS business at approximately \$2.5 billion with the anticipation of enhanced 45Q via the Build Back Better Act. At this time, SOC began selling shares and ultimately exited its position in 1Q 2022 at an average share price close to \$80.00/share. SOC realized ~\$136 million in proceeds and achieved a 2.6x ROI.

In November 2021, Special Opportunities closed on a \$7 million investment in Encino Environmental Services. The investment represents a non-controlling ownership (25%) in the business alongside BP Energy Partners who is the primary sponsor. Encino is a Houston-based company focused on methane monitoring and greenhouse gas reduction. The investment provides a compelling opportunity to build a company which can offer a full suite of services related to the emissions problem in the industry.

In February 2022, Special Opportunities made a follow-on investment to the Encino platform through Context Labs (“CXL”) in partnership with BP Energy Partners. In total, the investment in CXL was \$16.3 million with Special Opportunities taking 25% of the investment (~\$4.0 million). CXL is a Boston based software developer that provides ESG data analytics and insights. CXL will serve as the software offering in the Encino suite of products going forward.

Recent Events

Encino continues to focus on building out its methane monitoring business with its existing customer base along with enhanced sales efforts for new customer acquisition. Through Encino’s investment in Sensia, a Spanish camera manufacturer, the company has significantly expanded its continuous monitoring program (CEMs) increasing its CEMs fleet from 8 to 60 cameras. Additionally, Encino’s partnership with Context Labs, a Boston based software developer that provides ESG data analytics, has generated several meaningful customers for the business. Encino continues to look to expand its product offerings through investments in innovative emissions solutions.

Valuation (\$000's)

See valuation assumptions for valuation basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Dec-20	\$67,664	\$135,793	\$15,380	\$151,173	2.23x	145.0%



Arbor Renewable Gas LLC

Company Description

Arbor Renewable Gas Holdings, LLC (“Arbor” or the “Company”) was formed in February 2021 and is led by Tim Vail (CEO), Brent Gwaltney (CFO), Ned Crady (Corporate Development & GC), and Trey Fielder (Head of Site Development) (collectively “Management”). Mr. Vail has an impressive track record and was previously Founder and CEO of G2X Energy (methanol producer), CEO of Synthesis Energy Systems (coal gasification), and Director of Commercialization for Fuel Cell Development at General Motors. Management has a very strong energy background with significant experience developing, constructing, and managing large scale industrial/energy projects.

Arbor’s focus is on the production of renewable syngas, which can then be used to produce renewable gasoline, green hydrogen, and sustainable aviation fuel. Management has a close relationship with SunGas/GTI (provider of proprietary gasifier technology) and has negotiated an exclusive arrangement for the use of the technology for the projects Arbor is focused on pursuing. Arbor’s first planned project in Beaumont, TX is expected to produce ~1,000 bbls/day of renewable gasoline with a very low or negative carbon intensity score. Given the attributes of Arbor’s gasoline, it is expected to qualify for meaningful environmental or tax credits under the LCFS, RFS, and 45Q programs. This investment required significant front-end diligence and will continue to be vetted with Management and industry experts. EnCap believes this investment has compelling risk/reward, and we intend to expose limited upfront capital in order to get the project “shovel ready” before bringing in a strategic partner or exploring an outright sale before deploying full development capital. Additionally, we believe Management represents a potential long-term partner to EnCap given its level of expertise in an emerging market with significant momentum.

Transaction Summary

In February 2021, Fund XI made a \$13.5 million dollar commitment to Arbor alongside a \$1.5 million commitment from management for a total equity commitment of \$15 million to the company. This initial commitment was sized to capture the opportunity to partner with the Arbor team and to fund start-up costs while continuing extensive diligence. Subsequently, in July 2021, EnCap Energy Transition Fund I (45.8%) and Yorktown (6.1%) joined the investment group alongside Fund XI (45.8%), and Arbor’s commitment was increased to \$100 million (inclusive of management’s \$2.2 million commitment) to support the company’s business plan. The investment is structured as common equity, with Fund XI receiving a proportionate share of the distributions until an 8% IRR is achieved. Thereafter, distributions will be allocated on a graduated basis after certain IRR and ROI targets are met.

Post Investment Activity

Shortly after closing, the company secured a highly strategic 53-acre site located at the confluence of low-cost and plentiful wood waste feedstock, rail and waterfront access, utility access, and critical CO2 infrastructure in Beaumont, TX (“Spindletop”). This site has the capacity for up to two additional trains, beyond the first train slated for Q4 2024 COD, that could be designed to produce syngas, renewable gasoline, sustainable aviation fuel, and/or green hydrogen. The site is construction ready, fully permitted, and Arbor has completed front-end engineering and design, providing clarity of capital costs for the initial train. Additionally, the company received its indicative carbon intensity score, based on detailed review of the company’s processes, for both the California and European markets from third party consultants, and verified that its feedstock meets the standard to qualify for D-3 RINs under the EPA’s Renewable Fuel Standard and the International Sustainability and Carbon Certification. Both verifications have contributed to derisking the environmental attribute component of the revenue stack.

Arbor has secured an additional site in Baton Rouge, Louisiana and has begun early-stage development work to derisk an expansion project. The company is in discussions with an oil major (separate from Spindletop site) that could result in a partnership that leads to accelerated development and construction of the project.



Recent Events

In Q4 2022, Arbor continued to advance engineering on the initial train, progressing phase III (FEL-3) of FEED to ~70% complete (50% complete at 9/30/22). Upon completion of FEL-3, Arbor will issue requests for proposal (RFPs) to procure the equipment to construct the processing unit modules.

Throughout Q4, Arbor gained traction with its commercialization framework for its Magnolia site. Arbor is working with a global, investment grade company which is a leader in the renewable fuels space on a joint venture to develop and construct a three-train methanol site. The potential partner is in advanced offtake negotiations to supply carbon neutral or negative carbon methanol to global shipping companies under a 10 to 15-year, fixed priced offtake. The potential partner selected Arbor as its preferred partner upon completion of extensive due diligence. Additionally, the joint venture has received multiple indications of support from regional woody biomass feedstock suppliers (will not compete for feedstock with the Spindletop wood basket). Subsequent to year-end, Arbor executed a joint-study agreement with the potential partner to begin early-stage development while the parties simultaneously put a formal joint venture in place.

Since formation, Arbor has significantly derisked the Spindletop project through the substantial advancement of engineering and commercial marketing negotiations. In light of progress made since initially committing to Arbor, EnCap increased the commitment size to fund the initial train at Spindletop and development capital at Magnolia. Shortly after Q4, Arbor's gross equity commitment was increased, from \$100.0 million to \$502.5 million, with EnCap managed funds comprising \$450.0 million of the commitment (\$250.0 million from EETF II, \$125.0 million from EETF I, \$75.0 million from EnCap Fund XI), \$50.3 million from Mercuria, and \$2.3 million from Arbor management.

Valuation (\$000's)

The investment in Arbor Gas is carried at cost (which approximates fair value).

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	Projected ROI	Projected IRR
Feb-21	\$44,381	\$0	\$44,381	\$44,381	1.00x	N/A



Grayson Mill Energy II, LLC

Company Description

Grayson Mill Energy II is a privately held, Houston-based independent oil and gas company focused on the development of oil and gas properties in the Williston basin. The Grayson Mill II management team is comprised of the same senior management team as Grayson Mill I. They have also added additional key personnel and support staff with a significant Bakken experience. The team is led by Eric Bayes (CEO), Blake Sullens (COO), Matt Ultis (CFO), and Dewey Gerdorn (VP-Business Development). Mr. Bayes was previously VP Operations with Oasis Petroleum (“Oasis”), where he managed the entirety of Oasis’ operations team in the Bakken, which included 16 rigs, six frac crews, and over 300 employees at its peak. While at Oasis, Mr. Bayes was being groomed to be a future leader of the company prior to deciding to pursue his own venture. Mr. Sullens was most recently Operations Manager at Alta Resources, where he played a critical role in the execution and success of the company’s Duvernay asset. He brings a unique combination of operational, engineering, and petrophysical expertise to the team. Mr. Ultis was previously CFO of Redman Management Company (GSO portfolio company) and also held various corporate planning, finance, and investor relations roles at Oasis. Mr. Gerdorn previously served as VP-Business Development at Bright Horizon Resources, where he focused on the Midcontinent and East Texas basins. Prior to Bright Horizon Resources, Mr. Gerdorn worked at PDC Energy for nineteen years, where he was part of the original team that formed PDC’s successful strategy to enter the Wattenberg and Piceance basins. Grayson Mill represents a strong, data-driven and operational team well situated to execute the company’s strategy in the Bakken.

Transaction Summary

In February 2021, Fund X posted a \$150 million deposit to secure the acquisition of Equinor’s Bakken assets. In April 2021, Fund X committed \$250 million, Fund XI committed \$500 million, and management committed \$1 million, providing a total equity commitment of \$751 million to the company. Simultaneous with the April closing, ownership across members was trued up based on commitments to the company. The investment is structured in the form of common equity with EnCap receiving 99.9% of distributed cash until an 8% IRR and 1.00x ROI is achieved. Distributions thereafter will be allocated on a graduated basis as additional IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

Concurrent with the formation of Grayson Mill II, the company closed its acquisition of Equinor’s Bakken assets for \$900 million. Equinor’s Bakken assets include ~240k net acres producing ~44 MBoe/d net (67% oil), as well as an extensive crude, gas, and water gathering system that greatly enhances producer margins. At closing, the transaction was funded with \$560 million in equity, \$275 million in debt, and \$65 million in interim period cash flow. The valuation was highly compelling with over \$1 billion in hard value coverage and meaningful upside inventory remaining that was not valued to underwrite the deal. Additional upside exists in LOE reductions and refrac potential. Equinor hedged a meaningful portion of PDP volumes on behalf of Grayson Mill at PSA signing, and Equinor also provided firm crude transportation at an attractive fixed fee arrangement through YE 2022. The transaction closed in April 2021.

During Q1 2022, Grayson Mill sold non-core acreage and associated production in Montana for \$71 million to a private operator.

Recent Events

Management began influencing operations after closing in April 2021 and formally brought operations in-house in August 2021. Over the course of 2021, the team primarily focused on stabilizing production and lowering operating costs, which yielded excellent results. The company also completed a significant backlog of DUCs that were inherited from the seller and commenced a re-frac program. In late 2021, Grayson Mill deployed its first operated rig, and in Q1 2022, the company added its second operated rig.



ENCAP INVESTMENTS L.P.

EnCap Energy Capital Fund XI

Portfolio Companies

In Q4 2022, Grayson Mill added a third rig to bring value forward, while reinvesting a moderate portion of overall operating cash flow and maintaining modest leverage (<1.0x). In total, Grayson Mill distributed ~\$40 million during the quarter and has distributed ~\$761 million since inception. Overall, the company is very well positioned for continued success, especially in the current commodity price environment, and we expect to realize ongoing distributions from free cash flow for the foreseeable future.

In Q4 2022, the company acquired EOG's Western Bakken assets for \$125 million in cash consideration after EOG ran a marketed process. The acquired assets are substantially offset or inside existing Grayson Mill drilling units and include over 100 net locations. After netting out approximately \$50 million of PDP value, this inventory was captured at a compelling valuation (<\$1 million per location) and will further extend the deep inventory runway of the company, while also extending laterals for several of Grayson Mill's existing drilling units.

Valuation (\$000's)

The Unrealized Value is based on the PV10 of the future cash flow stream on a risk adjusted basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	Projected ROI	Projected IRR
April-21	\$394,177	\$487,868	\$904,921	\$1,392,789	3.53x	N/A



Grenadier Energy Partners III, LLC

Company Description

Grenadier Energy Partners III, LLC (“Grenadier III”) is a privately-held, Woodlands, TX-based oil and gas company. The Grenadier III management team is largely made up of individuals responsible for Grenadier Energy Partners II’s success (“Grenadier II”) and will be led by Patrick J. Noyes (CEO), Lenny Lilja (CFO), Kyle Noyes (President & COO), and Thomas Belsha (CTO & Business Development). Management has an established track record in multiple basins with varying strategies, and we view this repeat team as having the ability to identify, capture, and execute on attractive investment opportunities.

Grenadier III will evaluate opportunities across multiple basins but will initially focus its efforts in the Midland Basin where Management can leverage its deep network of contacts, technical understanding of subsurface dynamics, and recent operational success in the northern side of the Basin. Management is currently evaluating several positions held by smaller, private operators in Texas that may not have the operational capabilities that Grenadier III does or are not adequately capitalized to develop the assets to the level required by the public buyer universe in today’s environment. As such, Grenadier III believes there is an opportunity for a consolidation of such positions and will emphasize their ability to create value through the drillbit. Grenadier III will remain opportunistic as it relates to other basins given its experience across multiple U.S. basins.

Transaction Summary

In April 2021, Fund XI committed \$343 million and management committed \$7 million providing a total equity commitment of \$350 million to the company. The investment is structured in the form of common equity with Fund XI receiving 98.0% of distributed cash until an 8% IRR and 1.25x ROI is achieved. Distributions thereafter will be allocated on a gradual basis as additional return hurdles are met. EnCap holds a majority position on the Board of Managers.

Recent Events

Grenadier III is actively evaluating acquisition opportunities in areas where the team has prior experience and/or a competitive advantage. The team will additionally remain opportunistic as it relates to other basins given its experience across multiple U.S. basins.

Valuation (\$000’s)

The investment in Grenadier III is carried at cost (which approximates fair value).

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	Projected ROI	Projected IRR
Jun-21	\$8,820	\$0	\$8,820	\$8,820	1.00x	N/A



Pegasus Resources Holdings II, LLC

Company Description

Pegasus Resources Holdings II, LLC (“Pegasus II”) is a privately-held, Fort Worth-based company focused on the acquisition and aggregation of mineral interests and overriding royalties in the core of premier oil and gas basins in the United States. Pegasus II is led by George M. Young Jr. (CEO), Will Rodgers (President), Lynn Frank (CFO), Don Collins (VP-Land), and David Hvyl (Sr. Reservoir Engineer). Mr. Young was formerly CEO of Silverback Exploration, a Fund IX portfolio company, which sold its Delaware Basin assets to Centennial Resource Development in December 2016 for \$855 million, which generated a 3.1x ROI net to Fund IX. Management originally formed Pegasus Resources Holdings, LLC in 2017, which was consolidated into EnCap Minerals, LLC in June 2021. Management now manages EnCap Minerals in addition to Pegasus II.

Continuing the strategy of Pegasus I, Pegasus II’s initial strategy is to selectively acquire, manage and grow a portfolio of mineral interests within the Permian Basin, where management has extensive experience and relationships. The company strives to acquire minerals under the most efficient and sophisticated operators where line of sight to near-term development is achievable. Initially, Pegasus is focusing on seeking out proprietary, privately-negotiated opportunities and thus is targeting areas in which the team has the most experience and contacts.

Transaction Summary

In June 2021, Fund XI committed \$297.3 million and management / other investors committed \$2.7 million, providing a total equity commitment of \$300.0 million to the company. The investment is structured in the form of common equity with Fund XI receiving 99.1% of distributed cash until an 8% IRR and 1.25x ROI is achieved. Distributions thereafter will be allocated on a gradual basis as additional return hurdles are met. EnCap holds a majority position on the Board of Managers. Overhead between EnCap Minerals and Pegasus II is allocated based off direct costs and attention served and is reviewed and approved by the Board.

Recent Events

Since formation in June 2021, Pegasus II has closed on ~\$157 million of minerals transactions and amassed ~11,400 net royalty acres substantially located in the core of the Permian Basin. Management is seeing meaningful deal flow and will remain disciplined in its approach to continue aggregating attractive deals under well capitalized operators.

Valuation (\$000’s)

The Unrealized Value is based on the PV10 of the future cash flow stream on a risk adjusted basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	Projected ROI	Projected IRR
Jun-21	\$165,990	\$0	\$238,552	\$238,552	1.44x	N/A



EnCap Minerals, LLC

Company Description

EnCap Minerals, LLC (“EnCap Minerals”) was formed in June 2021 with the consolidation of core Permian mineral assets from multiple EnCap portfolio companies held in Fund IX (OGX III), Fund X (Fortis I, Fortis II, Fortis III, OGX IV), and Fund XI (OGX V, Pegasus I). Each entity received equity ownership in the new EnCap Minerals platform in exchange for the assets contributed, resulting in Fund IX, Fund X, and Fund XI owning 9.8%, 52.5%, and 36.6% of EnCap Minerals, respectively. The balance of the ownership, 1.1%, rests with the current management investors in Pegasus I. EnCap Minerals holds a premier portfolio of 125,000 core net royalty acres in the Permian Basin (60% Delaware Basin and 40% Midland Basin) with diversified and highly undeveloped assets positioned for future organic growth with no capital requirements.

EnCap Minerals is managed by the Pegasus team pursuant to a Management Services Agreement. Overhead is allocated to EnCap Minerals and Pegasus II using a methodical approach that is reviewed and approved by EnCap. As part of the consolidation, EnCap formally separated ties with the Fortis and OGX/Santa Elena teams, but several management members were retained to bolster the go-forward management team. Overall, we believe the consolidation of assets under EnCap Minerals will meaningfully reduce overhead, enhance distributions, and provide scale that will create differentiated opportunities for value creation and an ultimate monetization. EnCap Minerals will closely monitor the markets for a potential IPO, outright sale, or additional consolidation opportunities with other large private mineral interests using equity consideration.

Transaction Summary

In June 2021, EnCap Minerals was formed with the consolidation of core Permian interests. The existing remaining commitments of the Fund IX (OGX III) and Fund X (Fortis I, Fortis II, Fortis III, OGX IV) entities involved in the consolidation were carried over to EnCap Minerals to provide for additional future flexibility should a considerable deal arise requiring a cash component (subject to Advisory Board approval given the Funds involved).

The management interests of Fortis III, OGX III, OGX IV, and OGX V were fully repurchased prior to the consummation of EnCap Minerals, and the EnCap Funds hold the common equity interests directly related to these investments. The original management incentive structures remain for Fortis I, Fortis II, and Pegasus I, which are subject to an 8% IRR on original invested capital. Thereafter distributions are allocated on a graduated basis as certain ROI targets are met. EnCap holds a majority position on the Board of Managers for EnCap Minerals.

Recent Events

The EnCap Minerals portfolio has realized significant organic growth through ongoing and increased industry activity across its position in the Permian Basin. Approximately half of all Permian rigs have been running on EnCap Minerals’ position over the past few quarters. As such, we anticipate continued production growth in 2023 based on current activity levels.

In 4Q 2022, EnCap Minerals made \$121 million in distributions (~\$44 million to Fund XI, ~\$63 million to Fund X, and ~\$12 million to Fund IX). For FY 2022, EnCap Minerals generated approximately \$500 million in cash flow. The company will continue to make monthly distributions on an ongoing basis.

Valuation (\$000’s)

The Unrealized Value is based on a cash flow multiple of actual trailing 12 month cash flow.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	Projected ROI	Projected IRR
Nov-17	\$599,695	\$249,155	\$1,052,696	\$1,301,851	2.17x	N/A



Verdun Oil Company II LLC

Company Description

Verdun II is headquartered in Houston, TX and is led by the same management team as Verdun I (Fund X); Tim Nein (CEO), Danny Savitz (CFO), Jason LaGrega (COO), Will Rider (EVP Land & BD), Mark Stephenson (EVP-Geology), and Martin Perez (EVP-Engineering) (collectively, “Management” or “Verdun Management”). Verdun II was formed in July 2021 to acquire EP Energy’s Eagle Ford assets and was capitalized with a \$392 million commitment from Fund XI at signing.

Transaction Summary

On July 26, 2021, Verdun II and XCL signed an agreement to acquire EP Energy’s South Texas Eagle Ford and Uinta assets for \$1.55 billion. Verdun II’s allocated purchase price was \$758 million (\$706 million cash / \$53 million hedge loss assumption), subject to adjustments, and jointly posted a \$72 million deposit.

After signing, the transaction was flagged for review by the FTC, citing concerns with XCL’s acquisition of the Uinta assets. During a lengthy review process with the FTC, it was ultimately decided that the best path forward would be to agree that EnCap would divest the Uinta assets in order to ensure the capture of the Eagle Ford assets at a compelling valuation. A limited and expedited process was run and a PSA was signed with Crescent Energy to sell the Uinta assets for \$815 million in February 2022. On March 31, 2022 the acquisition of EP Energy’s Eagle Ford assets closed simultaneously with the close on the sale of Uinta assets to Crescent.

EP Energy’s Eagle Ford assets consist of ~110,000 net acre, primarily located in La Salle County, TX, producing ~25.7 Mboe/d (~65% oil). Verdun management believes that there are a number of greenfield development locations with compelling economics at today’s commodity prices, and additional refrac candidates. Potential upside also exists in LOE optimization and operational efficiencies. The asset base gives Verdun II immediate scale, and given it’s large production base, positions the company to immediately develop the asset within cash flow while making distributions.

Recent Events

Verdun II’s acquisition of EP Energy’s Eagle Ford assets closed on March 31, 2022. The company is integrating the asset base and has begun to execute its operated development program. Early time results from wells completed by Verdun exceed historical results and legacy type curve.

Verdun II initiated a distribution program with \$10 million distributed in December 2022 and plans to continue making distributions throughout 2023.

Valuation (\$000’s)

The Unrealized Value is based on the PV10 of the future cash flow stream on a risk adjusted basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	Projected ROI	Projected IRR
Jul-21	\$361,163	\$9,631	\$981,523	\$991,154	2.74x	N/A



Sabalo II Holdings, LLC

Company Description

Sabalo Energy II, LLC (“Sabalo II”) is a privately-held, Corpus Christi, TX-based oil and gas company. The Sabalo II management team is largely made up of individuals responsible for Sabalo Energy I’s (“Sabalo I”) successful sale to Laredo Petroleum (NYSE: LPI) and will be led by Barry Clark (CEO), Robert Helm (CFO), Tom Medary (VP Geology), and Mike Dignam (EVP Corporate Development). Management has an established track record in multiple basins with varying strategies, and we view this repeat team as having the ability to identify, capture, and execute on attractive investment opportunities.

Sabalo II will evaluate opportunities across multiple basins, but will initially focus its efforts in the Permian Basin where Management can leverage its deep network of contacts, technical understanding of subsurface dynamics, and recent operational success. Management is currently evaluating several positions in the Midland Basin both on and off market and believes there is an opportunity for consolidation as both public and private operators look to offload assets. Sabalo II will remain opportunistic as it relates to other basins given its experience across multiple plays in the U.S.

Transaction Summary

In September 2021, Fund XI committed \$296.5 million and management committed \$3.5 million, providing a total equity commitment of \$300 million to the Company. The investment is structured in the form of common equity with Fund XI receiving 98.8% of distributed cash until an 8% IRR and 1.00x ROI is achieved. Distributions thereafter will be allocated on a graduated basis as additional IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Recent Events

Sabalo II is actively evaluating acquisition opportunities in areas the team has prior experience and/or a competitive advantage. The team will also remain opportunistic as it relates to other basins given its experience in multiple basins.

Valuation (\$000’s)

The investment in Sabalo II is carried at cost (which approximates fair value).

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	Projected ROI	Projected IRR
Sep-21	\$7,907	\$0	\$7,907	\$7,907	1.00x	N/A



Paloma Partners VI Holdings, LLC

Company Description

Paloma VI (“PPVI” or “PNG”) is a privately held, Houston-based independent oil and gas company focused on the development of oil and gas properties in the Haynesville Shale. PPVI was formed in December 2021 and is led by Chris O’Sullivan (President), Mike Winsor (CEO), Mark Gabrisch (EVP Land), Scott Smith (EVP BD), and Bobby Poirrier (CFO) (“Management”). Management, excluding Mr. Winsor, has a long track record of value creation with EnCap across multiple entities dating back to 1998. Mr. Winsor was previously EVP and COO at Indigo Natural Resources (“Indigo”), where he managed the entirety of Indigo’s operations in the Haynesville including an eight rig program at its peak. Mr. Winsor has also attracted other key ex-Indigo personnel to join PPVI to help lead a strong operations platform. Management will continue to operate Paloma IV (Fund IX), where the team has led a strong turnaround of the business. Paloma V (Paloma Solar & Wind) was realized in February 2022.

Transaction Summary

In December 2021, Fund XI committed \$539.0 million to Paloma VI. Management committed \$11.0 million, providing a total equity commitment of \$550.0 million to the company. The investment is structured in the form of common equity with Fund XI receiving 98% of distributed cash until an 8% IRR and 1.0x ROI is achieved. Distributions thereafter will be allocated on a graduated bases as additional IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

Concurrent with the formation of Paloma VI, the company closed its take-private transaction of Goodrich Petroleum Corporation (“GDP”) for \$527 million, including the assumption of debt. GDP’s assets include ~32,200 net acres in the Haynesville (92% HBP) and ~33,200 net acres in the TMS (97% HBP) producing ~180 MMcf/d net (97% gas). At closing, the transaction was funded with \$430 million in equity and \$97 million in assumed net debt. PPVI’s business plan is to accelerate activity with multiple rigs operating a larger scale and more efficient program to bring value forward. While not underwritten, we have high confidence in management’s ability to further expand core inventory, improve NRIs, and extend existing short lateral units with its land and BD expertise. The transaction closed on December 23, 2021.

Recent Events

Throughout 2022, the company dramatically increased activity levels in light of strong gas prices and economics, running five rigs and two completion crews in Q4 2022. The Board prioritized operational flexibility, avoiding material midstream, services, or land obligations that would require certain activity levels. Additionally, the company prudently layered on hedges to protect existing production.

In light of the recent pullback in natural gas prices, the company swiftly altered its 2023 capital budget and is dropping its remaining two rigs and its completion crew in the coming days. PNG is well positioned with its existing hedge book and will resume activity when economics justify. The company continues to add compelling inventory to bolster longer-term value creation.

Valuation (\$000’s)

The Unrealized Value is based on the PV10 of the future cash flow stream on a risk adjusted basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	Projected ROI	Projected IRR
Dec-21	\$504,700	\$0	\$650,988	\$650,988	1.29x	N/A



Double Eagle Energy Holdings IV, LLC

Company Description

Double Eagle Energy Holdings IV, LLC (“Double Eagle”) was formed in March 2022 and is based in Fort Worth, TX. Double Eagle is led by Cody Campbell (Co-CEO) and John Sellers (Co-CEO), as well as Blake Carpenter (CCO), Joshua Gregg (CFO), and Garrett Martin (COO). Mr. Campbell and Mr. Sellers founded the first iteration of Double Eagle in 2009 with a focus on acquiring and flipping leases in the early days of the shale land grab. From 2009 to 2012 Double Eagle was primarily focused on the Haynesville and Eagle Ford. Double Eagle was one of the first movers in the oil window of the Eagle Ford and sold tens of thousands of acres to Chesapeake, Enduring, and Hilcorp.

Management formed Double Eagle II in 2014 with a focus on the Midland Basin. Over the course of 24 months, Double Eagle leveraged deep industry and in-basin relationships as well as an unparalleled “land machine” to build a position of ~71,000 net acres in the core of the Midland Basin. Double Eagle II invested a total of ~\$520 million in the assets, and ultimately sold to Parsley in 2017 for ~\$2.8 billion, realizing a gross 3.3x ROI and 95% IRR.

Following the success of Double Eagle II, Management formed Double Eagle III to re-enter the Midland Basin in 2017. Shortly after formation, Double Eagle III merged with Four Point to form DoublePoint. The team ultimately invested a total of ~\$1.8 billion in acquisitions and development capital. Management executed on a sophisticated ground game, closing 78 acreage trades over 50,000 net acres, to create a blocky drill-ready position of ~98,000 net acres in the core of the Midland Basin. The team successfully operated 7 horizontal rigs with 3 frac crews, drilling 266 wells and growing production from 8 MBOED in Q1 of 2019 to 90 MBOED in April of 2021. DoublePoint ultimately sold to Pioneer in May of 2021 for ~\$6.4 billion, representing a gross 3.1x ROI and 43% IRR.

Double Eagle intends to leverage its industry relationships to create a core acreage position in the Midland and Delaware Basins through acquisitions and acreage swaps. Management will use its proven operating abilities to develop the assets and ultimately create a sizable cash flowing business that will be attractive to buyers in any market environment.

Transaction Summary

Double Eagle was initially be capitalized with a \$1.1 billion common equity commitment, which includes \$1.0 billion from Fund XI and \$100 million from Management. For up to 90 days after closing, we allowed Management to raise commitments from Friends and Family of up to \$100 million, which would reduce Fund XI’s commitment on a dollar-for-dollar basis. Any additional commitments from Friends and Family would be added to the total commitment amount, with a maximum expansion of \$50 million.

In Q2 2022, Double Eagle closed on additional commitments from Friends and Family, raising the total commitment to be \$1.15 billion. This includes \$900 million from Fund XI, \$154 million from Friends and Family, and \$100 million from Management.

Recent Events

As of December 31, 2022, Double Eagle has closed on just over 22,500 net acres in the Permian Basin through numerous acquisitions and trades. During the quarter they continued to run a 2-rig development program and added 2 additional rigs after year-end. The company is actively evaluating acquisition opportunities in the Permian Basin where the team has prior experience and/or a competitive advantage.

After the quarter-end, Double Eagle’s commitment was expanded by 50% in order to continue acreage acquisitions and execution at scale. The Fund XI commitment expansion will be transferred to Fund XII upon fundraising first close and Fund XI will receive a return of 8% for dollars previously funded. This matter was brought to the Fund XI advisory board in Q4 who approved the expansion and subsequent commitment transfer.

EnCap Energy Capital Fund XI
Portfolio Companies

Valuation (\$000's)

The investment in Double Eagle IV is carried at cost (which approximates fair value).

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	Projected ROI	Projected IRR
Mar-22	\$545,612	\$0	\$545,612	\$545,612	1.00x	N/A



Tumbleweed Royalty IV, LLC

Company Description

Tumbleweed Royalty IV, LLC (“Tumbleweed”) was formed in March 2022 and is based in Fort Worth, TX. Tumbleweed is led by Cody Campbell (Co-CEO) and John Sellers (Co-CEO), as well as Blake Carpenter (CCO), Grant Wright (President), and Ben Faith (COO). Mr. Campbell and Mr. Sellers founded the first iteration of Double Eagle in 2009 with a focus on acquiring and flipping leases in the early days of the shale land grab. From 2009 to 2012 Double Eagle was primarily focused on the Haynesville and Eagle Ford. Double Eagle was one of the first movers in the oil window of the Eagle Ford and sold tens of thousands of acres to Chesapeake, Enduring, and Hilcorp.

Management formed Tumbleweed Royalty I in 2016 to acquire mineral and royalty interest in the Midland Basin. The team invested a total of \$70 million to acquire ~13,000 net royalty acres. Tumbleweed Royalty I ultimately sold its assets in three separate transactions from 2017 to 2019 realizing \$200 million in ultimate proceeds, representing a gross 2.9x ROI.

In 2020 Management formed Tumbleweed Royalty II to acquire mineral and royalty interest the Midland Basin. This entity currently consists of ~14,000 net royalty acres concentrated in the highest quality areas of the Midland Basin. Collectively, Management has consolidated more than \$500 million of royalty acreage since 2016.

Tumbleweed intends to leverage its industry relationships to identify and acquire mineral and royalty interest in the Midland and Delaware Basins.

Transaction Summary

Tumbleweed was initially capitalized with a \$550 million common equity commitment, which includes \$500 million from Fund XI and \$50 million from Management. For up to 90 days after closing, we allowed Management to raise commitments from Friends and Family of up to \$50 million, which would reduce Fund XI’s commitment on a dollar-for-dollar basis. Any additional commitments from Friends and Family would be added to the total commitment amount, with a maximum expansion of \$25 million.

In Q2 2022, Tumbleweed closed on additional commitments from Friends and Family, raising the total commitment to be \$577 million. This includes \$450 million from Fund XI, \$77 million from Friends and Family, and \$50 million from Management.

Recent Events

As of December 31, 2022, Tumbleweed has closed on ~9,500 net royalty acres in the Permian Basin and expects to close on more than 1,000 additional net royalty acres over the next month. The company is actively evaluating acquisition opportunities in the Permian Basin where the team has prior experience and/or a competitive advantage.

Valuation (\$000’s)

The investment in Tumbleweed IV is carried at cost (which approximates fair value).

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	Projected ROI	Projected IRR
Mar-22	\$198,759	\$0	\$198,759	\$198,759	1.00x	N/A



Earthstone Energy, Inc Company Description

Earthstone Energy, Inc. (NYSE: ESTE) is a publicly-traded independent oil and gas company focused on the exploration and production of onshore assets in the U.S. Management is led by Frank Lodzinski (Executive Chairman), Robert Anderson (CEO) and their technical team, who previously led Oak Valley Resources, LLC (“OVR”) and have a demonstrable track record of value creation over the last 20 years in various public and private companies. Prior to partnering with EnCap in OVR, Mr. Lodzinski managed GeoResources, Inc. (formerly NASDAQ: GEOI), which was merged with Halcon Resources (NYSE:HK) in April 2012 for \$1 billion. At closing, the transaction generated a 4.9x ROI and a 38% IRR for original investors. OVR marked EnCap’s third partnership with Mr. Lodzinski and Mr. Anderson (after Cliffwood Oil & Gas and AROC) and the fifth oil & gas company the team have managed since the late 1980s. In 2014, OVR signed an agreement to reverse merge into Earthstone Energy, Inc. (NYSE:ESTE). Earthstone gained its initial operated Permian footprint through its combination with Bold Energy III (Fund IX) in May 2017. After a resetting of the market from Covid related turmoil, Earthstone began to execute on a series of highly accretive acquisitions in 2020 in the Midland and Delaware Basins, due in part to the company’s strong balance sheet and reputation for being a great partner.

Transaction Summary

On April 14, 2022, Earthstone completed a bolt-on deal to acquire privately held operated assets in the Southern Midland Basin from Bighorn Permian Resources, LLC (“Bighorn”) for a total consideration of \$713 million. Earthstone funded \$639 million of cash and issued 5.7 million shares of Earthstone’s Class A common stock to Bighorn. To help fund the cash portion of the deal, Earthstone issued \$550 million of 8% senior unsecured notes in April 2022 and closed a \$280 million PIPE that included \$220 million from EnCap (19.8 million new shares of Earthstone Class A common stock net to Fund XI) and \$60 million from Post Oak Energy Capital (“Post Oak”) (5.4 million new shares to Earthstone Class A common stock). In conjunction with this transaction, EnCap Fund VII also sold all 4.6 million of its Earthstone shares to Post Oak for \$51 million in total proceeds. Negotiation of deal terms was led by Post Oak, and EnCap received all necessary Advisory Board approvals related to the Bighorn transaction.

Post Investment Activity

On August 10, 2022, Earthstone closed its acquisition of Titus Oil & Gas Production, LLC’s northern Delaware Basin assets in New Mexico for \$635 million including \$575 million cash and \$60 million of equity (3.9 million shares). The deal was priced at a discount to PDP PV10 value and helps Earthstone expand its highly economic inventory in the core of the Delaware Basin and add additional scale.

Recent Events

Earthstone is very well positioned to generate substantial free cash flow at current commodity price levels and will use free cash flow to: (1) paydown its moderate leverage profile, (2) return capital to shareholders, and (3) make opportunistic accretive acquisitions. In Q4 2022, Earthstone repurchased ~2.1% of company’s outstanding shares.

Valuation (\$000’s)

See valuation assumptions for valuation basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	Projected ROI	Projected IRR
Apr-22	\$220,272	\$0	\$282,036	\$282,036	1.28x	N/A



EFM M6 Holdings, L.P. (M6 Midstream LLC)

Company Description

M6 Midstream (“M6”) is a privately held, Houston-based independent midstream company led by Bill Pritchard (Chairman), Frank Tsuru (CEO), Brant Baird (President & COO), and George Francisco (EVP & CFO). M6 is the sixth iteration of Momentum Midstream, and including three other upstream entities led by the team, the Momentum family of companies has generated a weighted average 2.6x ROI on \$2.9 billion of invested equity dating back to 2002.

Transaction Summary

M6 was initially formed by a consortium of third party investors in 2020. In June 2022, EFM IV partnered with M6 to better position the company to execute its business plan in the Haynesville. Upon Fund XI’s initial commitment, M6 had \$1.7 billion in total equity commitments including \$650 million from EFM IV and \$595 million from Fund XI. As approved by the Advisory Boards of the respective funds, Fund XI subsequently transferred \$395 million of its \$595 million commitment to EFM V when the fund was activated in January 2023, which reduced Fund XI’s commitment to \$200 million. The investment is structured in the form of common equity, with investors receiving a proportionate share of distributions until a 7% IRR is achieved. Thereafter, distributions are allocated on a graduated basis after certain ROI and IRR targets are met. EFM holds a majority position on the Board of Managers.

Recent Events

Prior to Fund XI’s commitment to M6 Midstream, the company closed on \$1.55 billion of Haynesville-focused acquisitions from Align and Midcoast in Q3 2022. These anchor assets consist of gas gathering, processing, and transportation systems with > 2.0 Bcf/d of current throughput, ~3,900 pipeline miles, and 700,000 dedicated acres.

In September 2022, the company announced FID on its new natural gas gathering and carbon capture project, New Generation Gas Gathering (“NG3”), which will gather natural gas produced in the Haynesville Shale for re-delivery to premium Gulf Coast markets, including LNG export. The project is underpinned by significant, long-term, and guaranteed commitments from several high-quality counterparties, with contract negotiations underway with numerous others. Chesapeake Energy’s anchor commitment for NG3 comes with a 35% interest in the project, structured as a JV, creating alignment between M6 and one of the largest Haynesville producers. The NG3 project is expected to be in service by early 2025.

Valuation (\$000’s)

The investment in M6 Midstream is carried at cost (which approximates fair value).

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	Projected ROI	Projected IRR
Nov-22	\$30,846	\$0	\$30,846	\$30,846	1.00x	N/A



ENCAP INVESTMENTS L.P.

EnCap Energy Capital Fund XI

Section IV: Financial Statements

Audited 2022 financial statements to be provided by March 31, 2023